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Test – 25

Environment revision/Economics

Topics covered:

- Environment Revision
- Basics of Indian economy and national income Economic growth and development
- Planning
- Inflation
- Current affairs August to September 2021



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DEDICATED PRELIM PROGRAM(DPP)

UPSC-CSE PRELIMINARY TEST SERIES – 2021/2022

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TEST BOOKLET SERIES

Test Code:

DPP

TEST BOOKLET

GENERAL STUDIES

TEST - 25

E 25

Time Allowed: Two Hours

Maximum Marks : 200

INSTRUCTIONS

1. IMMEDIATELY AFTER THE COMMENCEMENT OF THE EXAMINATION, YOU SHOULD CHECK THAT THIS TEST BOOKLET DOES NOT HAVE ANY UNPRINTED OR TORN OR MISSING PAGES OR ITEMS, ETC.

2. ENCODE CLEARLY THE TEST BOOKLET SERIES CODE A, B, C OR D AS THE CASE MAY BE IN THE APPROPRIATE PLACE IN THE ANSWER SHEET.

3. You have to enter your Roll Number on the Test Booklet in the provided alongside this line. DO NOT write anything else on the Test Booklet.

4. This Test Booklet contains 100 questions. Each question is printed in English. Each item comprises four responses (answers). You will select the response which you want to mark on the Answer Sheet. In case you feel that there is more than one correct response, mark the response which you consider the best. In any case, choose ONLY ONE response for each item.

5. All items carry equal marks.

6. Penalty for wrong answers:

THERE WILL BE PENALTY FOR WRONG ANSWERS MARKED BY A CANDIDATE IN THE OBJECTIVE TYPE QUESTION PAPERS.

- I. There are four alternatives for the answer to every question. For each question for which a wrong answer has been given by the candidate, One-Third of the marks assigned to that question will be deducted as penalty.
- II. If a candidate gives more than one answer, it will be treated as a wrong answer even if one of the given answers happens to be correct and there will be same penalty as above to that question.
- III. If a question is left blank, i.e., no answer is given by the candidate, there will be no penalty for that question.

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TOPICS COVERD: Environment revision, Basics of Indian economy and national income Economic growth and development, Planing, Inflation, Current Affairs August to September 2021



Q.1) In the financial year 2020, the net domestic product of India amounted to over 180 trillion Indian rupees, marking a big jump compared to the previous year's 170 trillion rupees. With reference to the Net Domestic Product (NDP) consider the following statements:

1. It is a GDP, calculated after addition of values of depreciation.
2. The value of the Net domestic product of an economy is always higher than the value of GDP for the same year.
3. Calculations of Net domestic product are used only for the domestic purposes.

Select the incorrect answer using the code given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.2) It is the total value of all finished goods and services produced by a country's citizens in a given financial year, irrespective of their location, it is ?

- a) Net National Product
- b) Net Domestic Product
- c) Gross Domestic Product
- d) Gross National Product

Q.3) Which one of the following statements appropriately describes the "Net National Product"?

- a) It is the GDP calculated after adjusting the weight of the value of 'depreciation'. This is, basically, the net form of the GDP.
- b) It is a product calculated after the deduction of depreciation from the gross national product.
- c) It is the value of all final goods and services produced within the boundary of a nation during one year period.
- d) it is the total value of all finished goods and services produced by a country's citizens in a given financial year.

Q.4) Consider the following statements:

1. Market cost in production is an incurred cost on rent, power and interest of loan.

2. Factor cost in the production is incurred on the various factors of indirect taxes rates in the economy.
Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.5) India calculates its national income at constant prices, while the developed nations calculate it at the current prices because of:

- a) Changes in calculation parameter by the Niti aayog, after succeeding the erstwhile planning commission.
- b) Calculation of National income at current prices does not contain the inflation values.
- c) Inflation, which is a major part of income calculation, is adjusted in constant price calculation.
- d) All of the above

Q.6) The Central Statistics Office (CSO), in January 2015, released the new and revised data of National Accounts, with reference to it consider the following statements:

1. New base year series has been revised from the financial year from 2004–05 to 2011–12 for national income accounting.
2. Changes are made in accordance with the recommendation of the 14-member advisory committee, headed by NITI Aayog Vice-Chairman Rajiv Kumar.
3. Methodology used for the calculation of the National Accounts revised in line with the System of National Accounts (SNA)-2008.

Select the incorrect answer using the code given below:

- a) 1 and 2 only
- b) 2 only
- c) 3 only
- d) 1, 2 and 3

Q.7) In the Early period economists used progress, growth and development—interchangeably but during the 1970s clear meanings of these terms really evolved. With context of Growth and Development



consider the following statements:

1. Economic growth is a qualitative term, it's hard to measure in real terms like net growth of the road network.
2. Economic growth can be measured in parameters like the level of nutrition and healthcare facilities available in the country.
3. Higher economic growth does not automatically convert into higher economic development.

Select the correct answer using the code given below:

- a) 2 only
- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.8) Which of the following statements about the Human Development index (HDI) is correct?

- a) It is calculated by combining three indicators- Health, Education and Political participation in the index.
- b) For the first time in 2020, UNDP introduced a new metric to measure fossil fuels usage of countries.
- c) It is the product of a team from the UNDP led by Mahbub ul Haq and Esther Duflo.
- d) India ranked at 112 st in the 2020 Human Development Index.

Q.9) Consider the following statement about the Indian economy at Colonial Period:

1. During the Colonial period The policy of increasing India's capacity to purchase primary goods and export of advanced goods was practiced.
2. Industrialisation of India was also neglected by the colonisers.
3. The decade before independence was marked by good growth due to world war, due to significant change in productivity of the overall indian economy.

Which of the above statements is/are incorrect ?

- a) 1 only
- b) 1 and 2 only
- c) 1 and 3 only
- d) All of the above

Q.10) India's decision for a planned economy was also moulded by some contemporary experiences in the world. Which of the following is/are correct about it?

- a) Due to the Great Depression of 1929 and the reconstruction challenges after the second world War.
- b) Command economies in the world started performing badly in terms of economic growth, In the 1950s.
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.11) For industrialisation to take place, the presence of certain industries is essential in the country, with the context of a new series of Index of Industrial Production(IIP), arrange the following sectors in descending order according to their weight assigned to them in IIP.

1. Crude Oil
2. Cement
3. Steel
4. Refinery Products

Select the correct answer using the code given below:

- a) Cement> Steel> Refinery Products> Crude Oil
- b) Refinery Products> Crude Oil> Cement> Steel
- c) Refinery Products> Steel> Crude Oil> Cement
- d) Crude Oil> Steel> Refinery Products> Cement

Q.12) The World Bank in "World Development Report 2015: Mind, Society, and Behaviour" said that development policies become more effective when combined with insights into human behaviour. With reference to behavioural economics consider following statements:

1. Economic development depends on fiscal policy, monetary policy and taxation rather than intangible things such as human psychology.
2. Loan default Increases if the frequency of meeting between creditor and debtor increases.
- 3.Groups and societies that are known to be honest and trustworthy perform badly in development, due to a competitive Capitalist economy.

select the incorrect answer using the code given below:

- a) 1 only



- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.13) Consider the following statement is/are correct about the reason behind the 1991 Indian economic crisis:

1. Soaring Fiscal Deficit over 20 percent of the GDP and a hyper-inflation situation.
2. Indirectly increases foreign indebtedness by Eighth five Year Plan (1992–1997).

Select the correct answer using the code given below.

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.14) The Bombay Plan with the popular title of 'A Plan of Economic Development for India', prepared by a cross-section of India's leading capitalists. With context of it consider the following statements:

1. The Bombay plan was published under the editorship of John Mathai who later became the first Railway minister in Nehru's cabinet.
2. There were evident conflicting views on the economic planning between the members of Bombay Plan and the National Planning committee.
3. Members of the Bombay Plan were capitalist but they proposed the minimum wages, guarantee of minimum fair prices for agricultural products.
4. The Plan gives priority to the basic industries with 35% of total outlay.

Select the correct answer using the code given below:

- a) 1,2 and 3 only
- b) 3 and 4 only
- c) 1,2 and 4 only
- d) 1,2,3 and 4

Q.15) Consider the following statements:

1. It was formulated by Narayan Agarwal.
2. Its proposals were the opposite of the one put forth by the Bombay plan.
3. Ideologically this plan was against the commercialisation of the economy and centralized state power.

Which of the following plans are accurately described by the above statements, select the correct answer from the option given below:

- a) The People's Plan
- b) The Sarvodaya Plan
- c) The Gandhian Plan
- d) Saraiya Report On Cooperatives

Q.16) Economic reforms with the human face', the slogan with which the economic reforms started in the early 1990s also has the resonance of the People's Plan, with reference to The Peoples plan consider the following statements:

1. It was formulated by the communist leader Shaukat Usmani, SA Dange, Muzzafar Ahmed.
2. Only the industrial sector was highlighted by the plan due to communist ideology's importance to the industrial worker.

Select the incorrect answer using the code given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.17) Which of the following statements correctly describe The Sarvodaya plan?

1. It was published in 1950 by the socialist leader Raj Narain who later won the electoral malpractice case against PM Indra Gandhi.
2. This plan was ideologically influenced by the various Gandhian techniques.
3. This plan maker in later times had protested against the centralising nature of Indian economic planning.

Select the correct answer using the code given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.18) With context to the Reform Measures taken after the 1991 Indian Economic Crisis, consider the following statements:

1. Structural Reform Measures to boost the aggregate demand in the economy.



2. Macroeconomic Stabilisation Measures for boosting aggregate supply in the economy.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.19) Which one of the following statements appropriately describes "Globalisation"?

- a) An increase in economic integration among nations.
- b) Unrestricted cross border movements of goods and services, capital and the labour force.
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.20) Which of the following included in First Generation of Reforms:

- 1. Promotion to Private Sector
- 2. Technology sector reform
- 3. External Sector Reforms

Select the correct answer using the code given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.21) In a country of the size of India where the states have under the constitution full autonomy within their own sphere of duties, it is necessary to have a forum such as a National Development Council(NDC), with reference to NDC consider the following statements:

- 1. Before the 1967 reconstitution of NDC its membership contained only the Prime Minister with Cabinet Ministers and the Member of Planning commission.
- 2. NDC had its first meeting held in 1952 and last in December 2014 before the one year from the formation of Niti Aayoge.

Select the correct answer using the code given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.22) Consider the following statements about the first three five year plans of India from 1952 to 1965:

- 1. Due to the food grain problem, the highest priority in the First Five Year plan was given to the Agriculture sector including the irrigation sector.
- 2. As the First five year plan failed to solve the problem of foodgrain shortage, policymakers have to continue the emphasis in the Agriculture sector in the second five year plan.
- 3. After the First Five Year Plans, it was the Third Five Year Plan which achieved the set growth rate target .

Select the correct answer using the code given below:

- a) 1 only
- b) 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.23) Consider the following statements:

- 1. From the Fourth Five Year Plan the politicisation of planning started.
- 2. The Twenty-point Programme started in the Eighth Five Year Plan.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.24) Which of the following included in Second Generation of Reforms:

- 1. Factor Market Reforms
- 2. Legal Sector Reforms
- 3. Greater Tax Devolution to the States

Select the correct answer using the code given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.25) Consider the following statements:

- 1. Due to the serious food shortage and famine in 1966 Government of India decided to take an Annual plan .
- 2. The Rolling Plan was launched by the Janata



government in 1990–92 by terminating the Fifth Five Year plan one year ahead.

Select the correct answer using the code given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.26) Which of the following plans has Growth, Modernisation, Self-reliance and Social Justice as the guiding principles ?

- a) Fifth Plan (1974–1978)
- b) Seventh Plan (1985–1990)
- c) Eighth Plan (1992–1997)
- d) Tenth Plan (2002–2007)

Q.27) The Ninth Five Year Plan put emphasis on social objectives under the title of Basic Minimum Services(BMS), with reference to Objectives set under the BMS consider the following about the:

- 1. Solving Special problems of tribal development
- 2. Safe drinking water
- 3. Nutritional support to children
- 4. Universal Healthcare
- 5. Streamlining of the public distribution System.

Which of the above objective fall under the BMS, select the correct answer using the code given below:

- a) 1, 2 and 3 only
- b) 2 and 4 only
- c) 2, 3 and 5 only
- d) 1, 4 and 5 only

Q.28) Consider the following statements:

- 1. First Finance commission was set up before the establishment of Planning Commission due to the financial need of Independent India.
- 2. Finance Commission(1966) chaired by P.J Rajmannar suggested making the Planning Commission a statutory body independent of government.

Which of above statements is/are correct about the Finance Commission and Planning Commission, select the correct answer using the code given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2

- d) Neither 1 nor 2

Q.29) In the context of Third Generation Reforms consider the following statements:

- 1. This generation of reforms Target the Judicial reforms to unclog the high pendency of cases in Indian Judiciary.
- 2. Due to its importance the last Five Year Plan rectified the views regarding the third generation of reforms in India.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.30) In 2015, the government abolished the Planning Commission and replaced it by a new body—the NITI Aayog. The acronym NITI stands for National Institution for Transforming India, with reference to the official function NITI Aayog consider the following statements:

- 1. Proposes the limit of campaign expenditure per candidate to all parties.
- 2. Cooperative and Competitive Federalism
- 3. Vision & Scenario Planning
- 4. The measures needed to augment the Consolidated Fund of a State.
- 5. Conflict Resolution

Which of the above function are correct, select the correct answer using the code given below:

- a) 1, 2 and 4 only
- b) 2 and 3 only
- c) 2, 3 and 5 only
- d) 1, 2, 3, 4 and 5

Q.31) Which of the following statement current about the Full-time Organisational Framework of NITI Aayog:

- a) It will have a Vice-Chairperson to be appointed by the President of India.
- b) Part Time Member maximum 6 and will be on a rotational basis.
- c) Ex-Officio Members maximum of 4 from the Union Council of Ministers nominated by the PM.



- d) Chief Executive Officer to be appointed by the President of India.

Q.32) Which of the following work is/are eligible under the MPLADS scheme:

1. Providing Face masks, gloves and Sanitizers for medical personnel
2. Building assets by trusts and societies in areas occupied by tribals
3. Natural and man-made calamities
4. Purchase of Infra-Red thermometers
5. Work outside the MP's Constituency/State/UTs

Select the correct answer using the code given below:

- a) 1,2 and 3 only
- b) 2, 3 and 5 only
- c) 1, 2 and 4 only
- d) 1, 2, 3, 4 and 5

Q.33) Consider the following statements about the Central Sector Scheme and Centrally Sponsored Scheme:

1. In the Central Sector Schemes, the central government funds 90% in Himalyan States 60% in remaining States.
2. For Centrally Sponsored Schemes, the central government has the full obligation to fund 100% scheme cost.
3. Mahatma Gandhi National Rural Employment Guarantee Program is an example of a Centrally Sponsored Scheme.

Select the correct answer using the code given below:

- a) 1 and 2 only
- b) 3 only
- c) 2 and 3 only
- d) 1, 2 and 3

34. Consider the following statements about the thinking behind the creation of Public sector undertakings.

1. PSUs were the main focus of governments 'trickle-down effect for Economic growth benefits to percolate In masses.
2. During the period of Bank Nationalisation Indra Gandhi considered the PSUs as the Temple of Modern

India.

Which of the above statements is/are correct ?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

Q.35) Consider the following statements about the Eleventh Five Year Plan(2007-2012):

1. The total outlay of the Eleventh Plan was reduced compared to previous Tenth Plan due to The Financial Crisis of 2007–2008.
2. The major thrust of the plan will be on the social sector, including agriculture and rural development.
3. Plan targeted to reduce poverty by 10 percentage points.

Which of the above statements is/are correct about the Eleventh Five Year Plan, select the correct answer using the code given below:

- a) 1 and 2 only
- b) 2 only
- c) 2 and 3 only
- d) 1, 2 and 3

Q.36) With reference to Appraisal Of Twelfth Five Year Plan 2012-17, consider the following statements:

1. The Twelfth Five Year Plan shows the integrated single average economic growth due to the effect of policy logjam due to the administration.
2. Major issues faced during the Twelfth Five Year Plan period were constant current Account Deficit and a fall in the domestic savings rate.

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.37) Consider the following Pairs:

Terms	Features
1. Structural Inflation	Can happen due to Infrastructural Hurdles
2. Quantitative easing	Always creates unemployment.



3. Disinflation A fall in price levels.

Select the correct answer using the code below:

- a) 1 and 2 only
- b) 3 only
- c) 2 and 3 only
- d) 1 only

Q.38) Consider the following statements:

- 1. Continued deflation is a sign of a Strong economy.
- 2. Higher income tax may lead to a lower rate of inflation.
- 3. Low Inflation encourages Investment in the economy.

Which of the statements given above is/are incorrect?

- a) 1 and 3 only
- b) 1 only
- c) 2 and 3 only
- d) 2 only

Q.39) Which of the following measures can result in an increase in the inflation in the economy?

- 1. Purchase of government securities from the public by the Central Bank
- 2. Deposit of currency in commercial banks by the public
- 3. Sale of government securities to the public by the Central Bank

Select the correct answer using the codes given below :

- a) 1 only
- b) 2 and 4 only
- c) 1 and 3
- d) 2, 3 and 4

Q.40) In the context of Inflation, consider the following statements:

- 1. Base Effect is the impact of the price levels of previous year on the calculation of inflation rate.
- 2. Decrease in the Cash Reserve Ratio can increase Inflation in the economy.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2 only
- d) Neither 1 nor 2

Q.41) With reference to GDP price Deflator,, consider the following statements:

- 1. It is a unique indicator as it calculates inflation by only measuring the nominal GDP.
- 2. It covers limited commodity baskets for measuring Inflation.
- 3. Imported Goods are an essential component of GDP deflator.

Which of the statements given above is/are incorrect?

- a) 1 and 2 only
- b) 2 only
- c) 2 and 3 only
- d) All of the above

Q.42) In the context of Inflation,consider the following statements:

- 1. Laspeyre Index is used for the calculation of the Wholesale Price Index.
- 2. When Inflation increases, the real value of the savings falls.
- 3. Consumer Price Index covers only Goods in the economy.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) All of the above.

Q.43) Consider the following statements about GDP Deflator and Consumer Price Index(CPI):

- 1. Both the GDP Deflator and Consumer Price Index give the same rate of inflation every month.
- 2. The GDP deflator allows the basket of goods to change over time as the composition of GDP changes just like the Consumer Price Index.

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.44) Consider the following statements about Consumer Price Index(CPI):

- 1. The CPI includes food, housing, stocks,transportation, real estate and education.



2. RBI has adopted CPI as its key measure of inflation.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.45) Consider the following statements:

- 1. Higher indirect taxes can lead to a rise in inflation in the economy.
- 2. Only Monetary Policies of the Government affect the Inflation rate.
- 3. The low interest rates tend to result in inflation.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 2 only

Q.46) In the context of Bonds, consider the following statements:

- 1. Bond Prices fall when inflation increases.
- 2. Bonds help in Capital Preservation.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.47) Consider the following Pairs:

Curves	Depicts
1. Lorenz Curve	Shows the relationship between inflation and demand.
2. Phillips Curve	If unemployment is high, inflation will be low.
3. Kuznet Curve	Developing nations first experience a rise in income inequality.

Select the correct answer using the code below-

- a) 1 and 3 only
- b) 2 and 3 only
- c) 1 and 2 only
- d) All of the above

Q.48) In the context of Demand Pull Inflation, consider the following statements:

- 1. Depreciation of a currency can lead to cheaper imports.
- 2. Demand pull inflation can happen if the economy is growing too fast.
- 3. Decrease in Employment can lead to a scenario of Demand Pull Inflation.

Which of the statements given above is/are incorrect?

- a) 1 and 3
- b) 3 only
- c) 2 and 3 only
- d) 1 only

Q.49) Consider the following Pairs:

Terms	Features
1. Full Employment Unemployment in the Economy.	Means Zero
2. Sovereign Gold Bonds	No issue of storage.
3. Laffer curve	Analyses the relationship between tax rates and the tax revenue

Select the correct answer using the code below-

- (a) 1 only
- (b) 1 and 2 only
- (c) 2 and 3 only
- (d) All of the above

Q.50) Consider the following statements with respect to Inflation:

- 1. High Inflation in the country will increase Exports.
- 2. An increase in the effective demand can cause a general rise in the prices.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.51) With reference to Monetary Policy Committee, consider the following statements:

- 1. The Monetary Policy Committee is a Non-Statutory body.
- 2. It is established according to the provisions of the basel accords
- 3. The Prime Minister has a casting vote in case of a tie while taking decisions.

Which of the statements given above is/are correct?



- a) 1 only
- b) 2 and 3 only
- c) 1 and 2 only
- d) None of the above.

Q.52) Supply of money remaining the same when there is an decrease in demand for money, there will be:

- a) a fall in the level of prices
- b) an increase in the rate of interest
- c) a decrease in the rate of interest
- d) an increase in the level of income and employment

Q.53) If the repo rate is decreased in an economy, it will:

- a) decrease the consumption expenditure in the economy
- b) increase the tax collection of the Government
- c) increase the total employment in the economy
- d) Decrease in the interest rates

Q.54) In the context of Inflation, consider the following statements:

- 1. Inflation has a negative effect on the balance of payments.
- 2. Venture capital means a long-term start-up capital provided to new entrepreneurs.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.55) Consider the following statements:

- 1. A community is formed by the individuals of the same species with the ability to act and function independently.
- 2. Population comprises the individuals of the different species which interact with each other.

Select the incorrect answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.56) Consider the following statements:

- 1. Several biomes clubbed together comprise an entire ecosystem.
- 2. Absence of trees in the Tundra biome is attributed to the presence of Podzolic soils.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.57) Consider the following statements:

- 1. Gaseous cycles are the perfect nutrient cycles of the ecosystem.
- 2. Bioaccumulation and Biomagnification are associated with the sedimentary cycles.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.58) Consider the following species interaction:

	Species 1	Species 2
1. Competition:	Harmed	Unaffected
2. Predation:	Harmed	Benefited
3. Commensalism:	Benefited	Benefited
4. Amensalism:	Harmed	Benefited

Which of the following pairs are incorrectly matched?

- a) 1, 2 and 3 only
- b) 1, 3 and 4 only
- c) 2, 3 and 4 only
- d) 1, 2, 3 and 4

Q.59) Consider the following statements:

- 1. Savannah climate has an alternate dry and wet season with well-defined distinct rainy seasons.
- 2. Certain parts of Karnataka and Telangana exhibit the characteristics of Savannah.
- 3. Hot days and cold nights are the important features of the Savannah.



4. Steppes are known as the land of “Big games”.

Select the correct answer from the codes given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 4 only
- d) 3 and 4 only

Q.60) Consider the following statements:

- 1. The lack of rainfall in the Cold desert areas of Ladakh is due to the rain-shadow effect on the monsoon winds by the Himalayas.
- 2. The soils of the cold desert area are alkaline with good water retention capacity.

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.61) Consider the following statements regarding Ozone:

- 1. It cannot be formed at the ground level and only occurs naturally.
- 2. It acts as a major component in the formation of the photochemical smog.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.62) Consider the following statements regarding National Ambient Air Quality Standards (NAAQS):

- 1. It acts as a “One Number-One Colour-One description” to judge the air quality for the common man.
- 2. It is more comprehensive than the National Air Quality Index in terms of the number of pollutants covered.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.63) Consider the following statements regarding the Central Pollution Control Board:

- 1. It is a statutory body under MoEF&CC constituted under Water (Prevention and Control of Pollution) Act, 1974.
- 2. It foresees the implementation of Graded Response Action Plan prepared on the directives of MoEF&CC.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.64) Consider the following statements:

- 1. International Renewable Energy Agency (IRENA) is a UN body that supports countries to transition to a sustainable energy future.
- 2. Its membership is open to all the members of the United Nations.
- 3. RE map is an initiative by IRENA to boost the adoption of renewable technologies by the countries.

Select the correct answer from the codes given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.65) Consider the following statements regarding PM-KUSUM:

- 1. It aims to add solar and other renewable capacity of around 25000 GW by 2022.
- 2. The Ministry of Power is the main implementing agency of the scheme.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.66) Consider the following statements:

- 1. Pyrolysis occurs in the presence of air and results in the formation of syngas.
- 2. Pyrolysis and gasification find applications in the waste to energy conversion technologies.
- 3. Kinetic energy is an essential product of a



cogeneration process.

Select the correct answer from the codes given below:

- a) 1 only
- b) 2 only
- c) 1 and 3 only
- d) 2 and 3 only

Q.67) Consider the following statements regarding fuel cells:

- 1. Sustainability and efficiency of fuel cells is due to the absence of combustion.
- 2. Oxygen is the most suitable of all fuels for fuel cell application.
- 3. Fuel cells are extensively adopted due to their lower cost.
- 4. Electric Vehicles powered by fuel cells are more efficient.

Select the correct answer from the codes given below:

- a) 1 and 2 only
- b) 2 and 4 only
- c) 1 and 4 only
- d) 2 and 3 only

Q.68) Consider the following statements regarding Glacial Lake Outburst Floods (GLOFS):

- 1. GLOFs are caused due to the sudden release of melt water stored in the glacial lakes.
- 2. A Lake Monitoring and Information system has been installed at South Lhonak lake, Sikkim to monitor the water level of the lake.
- 3. Glacial retreats are important to prevent the occurrence of Glacial Lake Outburst Floods.

Select the correct answer from the codes given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.69) Consider the following statements:

- 1. Agriculture subsidies
- 2. Farm mechanization
- 3. Increased crop residue
- 4. Stubble burning

Which of the above are likely to have an adverse impact on the Environment?

- a) 1, 2 and 4
- b) 2, 3 and 4
- c) 1, 2 and 3
- d) 1, 2, 3 and 4

Q.70) Consider the following statements regarding Caracal:

- 1. It is endemic only to India in the states of Maharashtra and Gujarat.
- 2. It forms a part of the list of critically endangered species of India.
- 3. It has been listed as Least Concern by the IUCN.

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.71) Consider the following statements regarding 'PM MITRA Scheme',

- 1. The scheme will help to boost the forestation and increase the greenery across the nation.
- 2. The incentive given will be known as Competitiveness Incentive Support (CIS) and will be paid upto 3% of turnover of a newly established unit in PM MITRA.

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.72) Consider the following statements regarding 'PM GatiShakti',

- 1. The scheme will incorporate the infrastructure schemes of various Ministries and State Governments to improve connectivity.
- 2. The PM GatiShakti NMP will be monitored in a three-tier system, headed by the Prime minister at the top.

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2



Q.73) Recently 'Mount aso volcano' was seen in the news due to an eruption with a massive column of grey smoke billowing. It is related to which country?

- a) Japan
- b) Indonesia
- c) Hawaii(USA)
- d) Italy

Q.74) Recently the World Meteorological Organisation (WMO) has released a report on GreenHouse Gas emission, consider the following statements regarding this:

- 1. The increase in CO₂ emission from 2019 to 2020 was slightly lower than that observed from 2018 to 2019.
- 2. The increase in methane from 2019 to 2020 was higher than that observed from 2018 to 2019.
- 3. The increase in nitrous oxide from 2019 to 2020 was slightly lower than that observed from 2018 to 2019.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1,2 and 3

Q.75) Recently Ramappa temple have entered in the UNESCO heritage list, consider the following statements regarding this:

- 1 This temple is dedicated to lord Shiva and built during the Kakatiyan period.
- 2 It is the only Indian temple that is named after it's Architect.
- 3 The Temple is made of sandstone and black basalt.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1,2 and 3

Q.76) Consider the following statements with reference to the Cyclone Gulab:

- 1. It is the cyclone to make landfall, when temperatures across the Arabian Sea are expected to be lower than

conductive for cyclone intensification.

- 2. The monsoon conditions are favourable for cyclones to develop in the North Indian Ocean.

Which of the above statements is/are correct ?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.77) Consider the following statements regarding 'GloLitter Partnerships Project':

- 1. It was launched by the International Maritime Organization (IMO) and the Food and Agriculture Organization of the United Nations (FAO).
- 2. It aims to assist developing countries to prevent and reduce marine plastic litter from the maritime transport and fisheries sectors.
- 3. India is not a member of this global initiative.

Which of the above statements is/are correct?

- a) 1 only
- b) 2 only
- c) 1 and 2 only
- d) 1,2 and 3

Q.78) Regarding Public Accounts Committee (PAC), Consider the following statements:

- 1. The PAC is formed every year with a strength of not more than 30 members, which are chosen exclusively from the Lok Sabha.
- 2. A minister cannot be elected as a member of the Public Accounts Committee.
- 3. Any recommendation that is given by the committee is mandatory and cannot be ignored by the ministries.

Which of the above statements is/are correct?

- a) 1 and 2 only
- b) 2 only
- c) 2 and 3 only
- d) 1 and 3 only

Q.79) Consider the following statements regarding 'Draft Electricity Amendment Rules, 2021':

- 1. Electricity distribution is delicensed, giving the consumers a choice to choose a distribution company in their area.



2. The rules contain a provision for 'Universal Service Obligation Fund', which shall be managed by a government company and shall be utilized to meet any deficits in cross-subsidy.
3. The responsibility of fixing renewable power obligations (RPO) is shifted from state commissions to the central government.

Which of the above statements is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) all the above

Q.80) With reference to 'Neo-Banks' sometimes in the news, which of the following statements is/are correct ?

1. Neo banks are digital and operate online, and they do not have any physical branches.
2. Neo banks do not have a license of their own but they have banking partners to provide licensed services.
3. They provide banking services such as savings accounts, instant loans, credit cards, mutual funds, and fixed deposits.

Select the correct answer using the codes given below.

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) All the above

Q.81) Consider the following statements regarding Incremental Capital-Output Ratio (ICOR).

1. The incremental capital output ratio (ICOR) denotes the marginal amount of capital investment made in the economy and the consequent increase in the gross domestic product (GDP).
2. The higher the ICOR, the higher will be the productivity of capital.

Which of the above statements is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.82) This Indus Valley site is known for its cascading series of water reservoirs. Other unique features are its water management system, multi-layered defensive mechanisms, extensive use of stone in construction and special burial structures. A range of artefacts of copper, shell, stone, jewellery, terracotta and ivory had been found at the site. This is the fifth largest metropolis of the Indus Valley Civilization. Recently, this became the first ancient city of IVC to be included in the coveted list of UNESCO'S World Heritage Sites. Which of the following cities is being mentioned in the above passage?

- a) Lothal
- b) Dholavira
- c) Suktagendor
- d) Diamabad

Q.83) Pneumoconiosis, an ailment that is recently seen in the news is related to:

- a) Black foot disease due to Arsenic leaching.
- b) Black lung disease due to coal pollution
- c) Liver inflammation caused by Hepatitis virus.
- d) High levels of fat in the blood.

Q.84) With reference to the parliamentary privileges, consider the following statements:

1. Members of Parliament, in civil cases, enjoy protection from arrest 60 days before the start of a Parliament session, during its sittings and 60 days after its conclusion.
2. This privilege of protection from arrest during the session of Parliament does not extend to criminal offences but extends to the cases of detention under preventive detention.

Which of the above statements is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.85) Consider the following statements with reference to NERAMAC, which was recently seen in the news:



1. NERAMAC was set up to support farmers of the North East getting remunerative prices and thereby bridge the gap between the farmers and the market.
2. It is under the administrative control of the Ministry of Agriculture.
3. Its objective is to undertake development and marketing of horticultural products within and outside the north eastern region

Which of the above statements is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) all the above

Q.86) Which of the following statements is/are correct regarding 'Operation Greens'?

1. It aims to promote Farmer Producer Organisations (FPOs) and value addition.
2. It provides for both short term and long-term intervention by the government.
3. It is demand driven and state-wide funds are not allocated.

Select the correct answer using the codes given below.

- a) 1 and 2 only
- b) 3 only
- c) 1 and 3 only
- d) all the above

Q.87) Consider the following statements with respect to the VAYO NAMAN programme:

1. It aims to encourage entrepreneurs in the area of elderly care through the SACRED portal.
2. The Union Ministry of Health and Family Welfare is the nodal ministry for implementation of this programme.

Which of the above statements is/are correct ?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.88) Which among the following is/are not a Fundamental Quantity in SI System (International System of Units) ?

1. Volt
2. Ohm
3. Ampere
4. Kelvin
5. Candela

Select the correct answer from the codes given below:

- a) 1, 2, 3 and 4 only
- b) 1 and 2 only
- c) 3, 4 and 5 only
- d) 5 only

Q.89) With the reference to Hurricane, consider the following statements:

1. Hurricanes use warm, moist air as fuel, and therefore form over warm ocean waters near the poles.
2. Hurricanes are the biggest and most violent storms on the planet.
3. An eye forms in the centre and the calmest part of the cyclone.

Which of the statements given above is/are correct ?

- a) 1 and 2 only
- b) 2 only
- c) 2 and 3 only
- d) 1, 2 and 3

Q.90) Consider the following statements regarding the National Automated Facial Recognition System (NAFRS):

1. Facial recognition is a way of identifying or confirming an individual's identity using their face.
2. It would be interlinked with other existing databases like khoya-paya portal.

Which of the statements given above is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.91) Consider the following statements regarding PM Poshan Shakti Nirman (PM POSHAN).

1. It is the Centrally-Sponsored Scheme
2. The scheme will replace the existing national



programme for mid-day meals in schools or Mid-day Meal Scheme.

3. It will cover all school children studying in Classes I-VI of Government, Government-Aided and all Private schools.

Which of the statements given above is/ are correct?

- a) 2 only
- b) 1 only
- c) 1 and 2 only
- d) 1, 2 and 3

Q.92) Consider the following statements about, Stand up India scheme:

- 1. The scheme launched in 2016 by NITI Aayog.
- 2. The Stand-Up India Scheme facilitates bank loans to young entrepreneurs to set up new enterprises.
- 3. It provides bank loans between Rs 10 lakh and up to 1 crore.
- 4. Loans under the scheme are available only for greenfield projects.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 3 and 4 only
- d) 2,3 and 4

Q.93) Consider the following statements about National Coal Index:

- 1. It is a price index which reflects the change of price level of coal.
- 2. The base year for the NCI is FY 201-12.
- 3. It will be used for the calculation of intrinsic mine value.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1,2 and 3

Q.94) With reference to Shanghai cooperation organization, which of the following statements is/are incorrect?

- 1. The SCO is a non-permanent intergovernmental organisation established in 2001.
- 2. It was preceded by the Shanghai Five mechanism.
- 3. SCO has five member states namely India, China, Russia, Pakistan and Uzbekistan.

Select the correct answer using codes given below:

- a) 1 only
- b) 1 and 3 only
- c) 2 and 3 only
- d) 1,2 and 3

Q.95) Recently ' Sorghum' was seen in the news, with reference to:

- a) Ancient port of Gupta period.
- b) Gluten free cereal.
- c) Genetically modified sugarcane.
- d) Martial art of Kerala.

Q.96) Consider the following pairs:

<u>Place often in news</u>		<u>Location</u>
1. Amagarh Fort	-	Rajasthan
2. Haiti	-	Caribbean Sea.
3. Kuthiran Tunnel	-	Kerala
4. Ningbo Port	-	Goa

Which of the above pairs is/are correctly matched?

- a) 1 and 4 only
- b) 2 and 3 only
- c) 1,2 and 3 only
- d) 1,2,3 and 4

Q.97) With reference to the Asian Development Bank, consider the following statements:

- 1. Asian Development Bank is an official Observer of the United Nations.
- 2. India is one of the founding members of the Asian Development Bank.
- 3. Aim of the Asian Development Bank is to promote social and economic development in the whole world.
- 4. The United States is one of the five largest shareholders of Asian Development Bank.

Which of the statements given above is/are correct?

- a) 1 and 2 only



- b) 3 and 4 only
- c) 1,2 and 4 only
- d) 1, 2,3 and 4

Q.98) Consider the following statements regarding The Association of Southeast Asian Nations (ASEAN):

- 1.The Association of Southeast Asian Nations is a regional organization.
2. India is one of the founding members of ASEAN.
3. ASEAN established to promote political and social stability amid rising tensions among the Asia-Pacific's post-colonial states.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

Q.99) Recently Peter Pan Syndrome was seen in the news, It is -

- a) Psychological condition where adults become socially immature.
- b) New strain of virus creates avian influenza.
- c) Ransomware attack encrypted large number of files.
- d) New invention of pen useful in Space.

Q.100) Consider the following statements regarding the Financial Action Task Force (FATF)

- 1.It is an inter-governmental body established in 1989 during the G7 Summit in Paris.
- 2.Financial Action task force has 39 members and India is not a member of FATF .
3. Pakistan is grey listed and Iran is black listed by the Financial action task force.

Which of the statements given above is/are correct?

- a) 1and 3 only
- b) 2 and 3 only
- c) 1 and 2 only
- d) 1, 2 and 3



Q.1) Ans: a

Exp:

· **Statement 1 incorrect:** Net Domestic Product (NDP) is the GDP calculated **after adjusting the weight of the value of 'depreciation'**.

o This is, basically, the net form of the GDP, i.e., GDP **minus** the total value of the 'wear and tear' (depreciation) that happened in the assets while the goods and services were being produced.

o **Thus, $NDP = GDP - Depreciation$.**

· **Statement 2 incorrect:** The NDP of an economy **has to be always lower than its GDP for the same year, since there is no way to cut the depreciation to zero.**

o But mankind has achieved too much in this area through developments, such as 'ball-bearing', 'lubricants', etc., all innovated to minimise the levels of depreciation.

· **Statement 3 correct:** The different uses of the concept of NDP are as given below:

For domestic use only: to understand the historical situation of the loss due to depreciation to the economy.

o Also used to understand and analyse the sectoral situation of depreciation in industry and trade in comparative periods.

o **To show the achievements of the economy in the area of research and development**, which have tried cutting the levels of depreciation in a historical time period.

Source: Indian economy- Ramesh Singh.

Q.2) Ans: d

Exp:

· **Option D correct:**

o **Gross National Product (GNP):** It is the total value of all finished goods and services produced by a country's citizens in a given financial year, **irrespective of their location**. GNP also measures the **output** generated by a country's businesses located domestically or abroad.

§ Gross National Product (GNP) is the GDP of a country added with its **'income from abroad'**.

§ Here, **the trans-boundary economic activities of an economy is also taken into account.**

· **Option A incorrect:**

o **Net National Product:** Net National Product (NNP) of an economy is the GNP after deducting the loss due to 'depreciation'. The formula to derive it may be written like:

o $NNP = GNP - Depreciation$

Or,

o $NNP = GDP + Income from Abroad - Depreciation$.

· **Option B incorrect:**

o **Net Domestic Product:** It is the GDP calculated after adjusting the weight of the value of 'depreciation'. This is, basically, the net form of the GDP, i.e., GDP minus the total value of the 'wear and tear' (depreciation) that happened in the assets while the goods and services were being produced.

· **Option C incorrect:**

o **Gross Domestic Product:** It is the value of all final goods and services produced within the boundary of a nation during one year period. For India, this calendar year is from 1st April to 31st March.

§ It is also calculated by adding national private consumption, gross investment, government spending and trade balance (exports-minus imports).

§ The use of the exports-minus-imports factor removes expenditures on imports not produced in the nation.

Source: Indian economy- Ramesh Singh.

Q.3) Ans: b

Exp:

· **Option B correct:** Net National Product (NNP) of an economy is the GNP after deducting the loss due to 'depreciation'.

o The formula to derive it may be written like:

o $NNP = GNP - Depreciation$ Or, $NNP = GDP + Income from Abroad - Depreciation$.

o **The different uses of the concept of NNP are as given below:**

§ This is the 'National Income' (NI) of an economy.

§ Though, the GDP, NDP and GNP, all are 'national income' they are not written with capitalised 'N' and 'I'.

§ This is the purest form of the income of a nation.

§ When we divide NNP by the total population of a nation we get the 'per capita income' (PCI) of that nation, i.e., 'income per head per year'.



Source: Indian economy- Ramesh Singh.

Q.4) Ans: c

Exp:

• Cost: Income of an economy, i.e., **value of its total produced goods and services may be calculated at either the 'factor cost' or the 'market cost'. There is a difference between them.** In general, they are also called '**factor price**' and '**market price**'.

o India officially used to calculate its **national income at factor cost**.

o Since January 2015, the CSO has switched over to calculating it at market price (i.e., market cost).

• **Statement 1 incorrect:**

o **Factor cost** is the 'input cost' the producer has to incur in the process of producing something (such as **cost of capital, i.e., interest on loans, raw materials, labour, rent, power, etc.**).

§ This is also termed as 'factory price' or 'production cost/price'. This is nothing but the 'price' of the commodity from the producer's side.

• **Statement 2 Incorrect:** Market cost is derived after adding the **indirect taxes to the factor cost of the product**.

o It means the cost at which the goods reach the market, i.e., showrooms (these are the central excise and the CST which are paid by the producers to the central government in India).

o This is also known as the '**ex-factory price**'.

o The weight of the state taxes are then added to it, to finally derive the 'market cost'.

Source: Indian economy- Ramesh Singh.

Q.5) Ans: c

Exp:

• **Option A and B incorrect:** Irrelevant to the income calculation at constant price.

• **Option C correct:** India calculates its national income at constant prices—so is the situation among other developing economies, while the developed nations calculate it at the current prices.

o **Though, for statistical purposes the CSO also releases the national income data at current prices.**

o Basically, inflation has been a **challenging aspect of policy making in India because of its level and stability**.

o **Income at constant price** is the money value of final goods and services produced by normal residents of a country in a **year, measured at base year price. Base Year is a normal year which is free from price fluctuations(Inflation).** (Statement 2 incorrect)

o National Income at Current Price is the money value of final goods and services produced by normal residents of a country in a year, measured at the prices of the current year without adjusting the inflation value.

o Important aspect of income:

§ **Nominal income:** The wage someone gets in hand per day or per month

§ **Real income:** This is nominal income minus the present day rate of inflation—adjusted in percentage form.

§ **Disposable income:** The net part of wage one is free to use which is derived after deducting the direct taxes from the real/nominal income, depending upon the need of data.

o What happens in practice is that while the nominal income might have increased by **only 5 per cent, it looks 15 per cent if the inflation is at the 10 percent level**.

o **Unlike India, among the developed nations, inflation has been around 2 percent for many decades; it means it has been at lower levels and stable, too.**

o This is why the difference between the incomes at constant and current prices among them are narrow and they calculate their national income at current prices. They get more reliable and realistic data of their income

Source: Indian economy- Ramesh Singh.

Q.6) Ans: b

Exp:

• **Statement 1 correct:** For the national income accounting in India the new Base Year was revised from **2004–05 to 2011–12**.

o **Headline growth** rate will now be measured by **GDP at constant market prices**, which will henceforth be referred to as '**GDP**' (as is the practice internationally).

o Earlier, growth was measured in terms of **growth**



rate in GDP at factor cost and at constant prices.

- **Statement 2 incorrect:** This was done in accordance with the recommendation of the **National Statistical Commission (NSC), which had advised to revise the base year of all economic indices every five years not by advisory committee.**

- **Statement 3 correct:** The methodology used for the calculation of the **National Accounts** has also been revised in line with the requirements of the **System of National Accounts (SNA)-2008**, an internationally accepted standard.

- o Sector-wise estimates of Gross Value Added (GVA) will now be given at basic prices instead of factor cost.

Source: Indian economy- Ramesh Singh.

Q.7) Ans: c

Exp:

- **Statement 1 incorrect:** The most important aspect of growth is its **quantifiability(Quantitative) and not a quality i.e., one can measure it in absolute terms unlike qualitative terms.**

- o growth is also a value neutral term, i.e., it might be positive or negative for an economy for a specific period.

- o Economic growth is a widely used term in economics which is useful in not only national level economic analyses and policymaking, but also highly useful in the study of **comparative economics.**

- **Statement 2 incorrect:** Economic growth can be measured in parameter like-

- o Growth in food production during a decade which could be measured in tonnes.

- o The growth of the road network in an economy, measured for a decade or any period in miles or kilometres.

- o The value of the total production of an economy, measured in currency terms which means the economy is growing.

- o Per capita income for an economy, measured in monetary terms over a period.

- **Statement 3 correct:** One basic thing must be kept in mind that **if the masses are to be guaranteed with a basic minimum level of quality-enhancing inputs in**

their life, a **minimum level of income has to be guaranteed for them. Income is generated from productive activities.**

- o It means that before assuring development we need to assure growth.

- o **Higher economic development requires higher economic growth.**

- o But it **does not mean that higher economic growth automatically brings in higher economic development;** it needs deliberate planning and work by policy makers to convert economic growth into development.

- o It can be measured on parameter like-

- § The level of nutrition.

- § The expansion and reach of healthcare facilities—hospitals, medicines, safe drinking water, vaccination, sanitation, etc.

- § The level of education.

- § Other variables on which the quality of life depends.

Source: Indian economy- Ramesh Singh.

Q.8) Ans: b

Exp:

- **Option A incorrect:** The term 'human development' is a corollary of 'development' in the index.

- o The HDR measures development by combining **three indicators—Health, Education and Standard of Living—**converted into a composite human development index, the HDI.

- **Option B correct:** For the first time, the **United Nations Development Programme introduced a new metric** to reflect the impact caused by each **country's per-capita carbon emissions and its material footprint**, which measures the **amount of fossil fuels, metals and other resources used** to make the goods and services it consumes.

- o This paints a "less rosy, but clearer assessment" of human progress, according to UNDP.

- **Option C incorrect:** The 'index' was a product of a select team of leading scholars, development practitioners and members of the Human Development Report office of the UNDP.

- o The first such team which developed the **HDI was led by Mahbub ul Haq and Inge Kaul.**



• **Option D incorrect:** India ranked at 131st position by the United Nations Development Programme (UNDP).

o **India ranked at 131st position out of 189 countries in the index, falling in the medium human development category with an HDI value of 0.645. In the year 2019, India ranked at 129th position.**

o It is to be noted that between 1990 and 2019, India's HDI value increased from 0.429 to 0.645, an increase of 50.3%.

Source: Indian economy- Ramesh Singh.

<https://economictimes.indiatimes.com/news/politics-and-nation/india-ranks-131-in-united-nations-human-development-index/articleshow/79763286.cms>

<https://www.thehindu.com/news/national/india-ranks-131-in-2020-un-human-development-index/article33348091.ece>

Q.9) Ans: c

Exp:

• **Statement 1 incorrect:** During colonial period in India, There was not only the unilateral transfer of investible capital to Britain by the colonial state, but the unequal exchange was day by day crippling India's commerce, trade and the thriving handloom industry, too.

o Throughout colonial rule, the economic vision that the state had was to **increase India's capacity to export primary products**, and increase the **purchase/import of the British manufactured goods** and raise revenues to meet the drain of capital as well as meet the revenue requirements of the imperial defence.

• **Statement 2 correct:** Industrialisation of India was also neglected by the colonisers—the infrastructure was not built to industrialise India but to exploit its raw materials.

o Indian capitalists who did emerge were highly dependent on British commercial capital and many sectors of the industry were dominated by British firms, e.g., shipping, banking, insurance, coal, plantation crops and jute.

• **Statement 3 incorrect:** The pre-independence period was altogether a **period of near stagnation showing almost no change in the structure of**

production or in the levels of productivity.

o The aggregate real output during the first half of the 20th century was estimated at less than **2 percent a year or less.**

o The overall economic performance of India under the British rule was very low. According To economic statistician Angus Maddison, there **was no per capita growth in India from 1600 to 1870—per capita growth was a meagre 0.2 per cent from 1870 to 1947**, compared with **1 per cent in the UK.**

Source: Indian economy- Ramesh Singh.

Q.10) Ans: a

Exp:

• **Option A correct:** India's decision for a planned economy was also moulded by some contemporary experiences in the world. Following are the main reasons.

o **The Great Depression of 1929 and the reconstruction challenges after the second world War:** It had made experts conclude in favour of a state intervention in the economy.

§ Which was opposite to the contemporary idea of 'non-interference' as proposed by Adam Smith).

• **Option B incorrect: Good economic growth of command economies-** It was the same time that the command economies (i.e., state economies) of the **soviet Union and the East European countries** started making news about their faster economic growth.

o In the 1950s and In the 1960s, the dominant view among policymakers around the world was in favour of an active role of the state in the economy.

o **Neutralise market failure:** A dominant role for the state in the economy to neutralise market failure situations as happened during the period of the Great Depression when demand fell down to the lowest levels It was gaining ground around the world.

§ For many newly independent developing nations, economic planning was therefore an obvious choice.

§ Economic planning was considered to help states to mobilise resources to realise the prioritised objectives in a well defined time frame.



Source: Indian economy- Ramesh Singh.

Q.11) Ans: c

Exp:

- **Option C correct:** India had opted for the industrial sector as its prime moving force in early economic planning after the independence of India.
 - o There were some areas of industries which the government had to invest in, due to several compulsive reasons.
 - o For industrialisation to take place, the **presence of certain industries is essential** (these industries have been called in the country by different names—basic industries, infrastructure industries, core industries, core sector).
 - o To the initial group of six industries, in 2013 two new industries (Natural Gas and Fertilisers) were added. **The combined weight of these eight industries in The new series of Index of Industrial Production (IIP) is 40.27 per cent.** These industries are (their percentage weights in IIP given in brackets):
 - § **Refinery products (11.29)**
 - § **Electricity (7.99)**
 - § **Steel (7.22)**
 - § **Coal (4.16)**
 - § **Crude Oil (3.62)**
 - § **Natural Gas (2.77)**
 - § **Cement (2.16)**
 - § **Fertilisers (1.06)**
 - Similar to the infrastructure sector, these basic industries also **require a high level of capital, technology, skilled manpower and articulation** in entrepreneurship which was again considered not feasible for the private sector of the time to manage.
 - Even if the private sector supplied goods from the '**basic industries**', they might not be able to sell their products in the market due to the lower purchasing power of the consumers. Perhaps, that is why again the responsibility of developing the basic industries was taken up by the government
- Source:** Indian economy- Ramesh Singh.

Q.12) Ans: d

Exp:

- The World Bank in its latest report (**World Development Report 2015: Mind, Society, and Behaviour**) states that development policies become more effective when combined with insights into **human behaviour**.
 - o It further adds that policy decisions informed by **behavioural economics** can deliver impressive improvements in promoting development and well-being in society. It cites some examples from India in the areas of healthcare and education. Such as:
 - o **Open defecation dropped** 11 per cent from very high levels after a Community- Led Total Sanitation (CLTS) programme was combined in some chosen villages with the standard approach of subsidies for toilet construction and information on the transmission of diseases.
 - **Statement 1 incorrect:** Economic development is **not only dependent on fiscal policy, monetary policy and taxation, but is also rooted in human psychology, sociology, culture and norms.**
 - o In economics, there has been a **bit of resistance in emphasising other aspects of development, because it is thought of giving ground to the neighbouring disciplines.**
 - **Statement 2 incorrect:** The likelihood of default on loans became three times less with a simple change in the periodicity of meetings between microfinance clients and their repayment groups to weekly rather than monthly.
 - **Statement 3 incorrect:** There is now a growing body of literature that demonstrates how **certain social norms and cultural practices are vital ingredients for economic efficiency and growth.**
 - o Groups and societies that are known to be **honest and trustworthy tend to do better than societies that do not have this reputation.**
 - o Societies that are endowed with **personal integrity and trustworthiness** have the natural advantage, in that no third party is required to enforce contracts.
- Source:** Indian economy- Ramesh Singh.

Q.13) Ans: d



Exp:

- **Statement 1 incorrect:** The 1991 Indian economic crisis was an economic crisis in India that resulted from poor economic **policies, inefficient public sector units, and the resulting trade deficits** leading to a balance of payments crisis. India's economic problems **started worsening in 1985 as the imports swelled, leaving the country in a twin deficit.**
 - o The crisis was hastened by the First Gulf War (1991) which had a two-pronged negative impact on the Indian foreign exchange (forex) reserves.
 - o First, the war **led the oil prices to go upward forcing India to use its forex reserves** in comparatively shorter period and **second**, the private remittances from Indians working in the Gulf region fell down fast (due to their emergency evacuation)—both the crises were induced by a single cause, i.e., the Gulf War.
 - o **The balance of payments crisis also reflected deeper problems of rising foreign debt, a fiscal deficit of over 8 percent of the GDP and a hyper-inflation (over 13 per cent) situation**
 - **Statement 2 incorrect:** The whole Seventh Plan (1985–90) promoted **further relaxation of market regulations with heavy external borrowings** to increase exports (as the thrust of the policy reform).
 - o Though the thrust increased the growth rate led by higher industrial growth (riding on costly imports supported by foreign borrowings, which the industries would not be able to pay back and service), it also led to a substantial increase in foreign indebtedness that played a major role in the BoP crisis of 1991.
- Source:** Indian economy- Ramesh Singh.

Q.14) Ans: b

Exp:

- **Statement 1 incorrect:** The Bombay Plan was published in 1944–45. It had the title of '**A Plan of Economic Development for India**', which was prepared by a cross-section of India's leading capitalists.
 - o The eight capitalists involved in this plan were **Purshotamdas Thakurdas, J.R.D. Tata, G.D. Birla, Lala Shriram, Kasturbhai Lalbhai, A.D. Shroff, Avdeshir Dalal and John Mathai.**
 - o **The Plan went through two editions; the first was**

published in January 1944. This first edition became "Part I" of the second edition, published in 2 volumes in 1945 **under the editorship of Purushottamdas Thakurdas.**

- **Statement 2 incorrect:** The popular sentiments regarding the need of planning and criss-cross of memberships between the **NPC and the Bombay Plan club made possible some clear-cut agreements between** these two major plans, which ultimately went to **mould the very shape of the Indian economy after Independence.**
 - o The eight capitalists involved in this plan out of these eight industrialists, **Purshotamdas Thakurdas** was one among the 15 members of the National Planning Committee (1938); J.R.D. Tata, G.D. Birla and Lala Sri Ram, were members of the subcommittees (29 in total) of the **National Planning Committee.**
 - **Statement 3 correct:** Accordion to a basic agreement on the issue of the **agrarian restructuring—abolition of all intermediaries (i.zamindari abolition), minimum wages, guarantee of minimum or fair prices for agricultural products, cooperatives, credit and marketing Supports** were proposed by the Bombay plan maker.
 - **Statement 4 correct: Agreement on rapid industrialisation** for which the plans agreed upon an emphasis on **heavy capital goods and basic industries, the Bombay Plan had allocated 35 percent of its total plan outlay on basic industries.**
 - o Taking clues from the Soviet Planning, the Bombay Plan was in favour of a simultaneous development of **the essential consumer goods industries, but as a low-key affair.**
- Source:** Indian economy- Ramesh Singh

Q.15) Ans: c

Exp:

- **Option C correct:** Other options are irrelevant to the answer.
- **The Gandhian Plan:** Espousing the spirit of Gandhian economic thinking, **Sriman Narayan Agarwal formulated The Gaudhian Plan in 1944.**



- o The plan laid more **emphasis on agriculture**. Even if he referred to industrialisation, it **was to the level of promoting cottage and village-level industries, unlike the NPC and the Bombay Plan which supported a leading role for the heavy and large industries**.
- o The plan articulated a **'decentralised economic structure' for India with 'self-contained villages'**.
- o It needs to be noted here that the Gandhians did not agree with the views of the NPC or the Bombay Plan, particularly on issues like centralised planning, dominant role of the state in the economy and the emphasis on industrialisation being the major ones.
- o For **Gandhi**, the **machinery, commercialisation and centralised state power were the curses of modern civilisation**, thrust upon the Indian people by European colonialism.
- o It was industrialism itself, Gandhi argued, rather than the inability to industrialise, which was the root cause of Indian poverty.
- o This was until the 1940s that the Congress supported the above-given view of Gandhi to mobilise a mass movement against colonial rule.

Source: Indian economy- Ramesh Singh

Q.16) Ans: c

Exp:

- **Statement 1 incorrect:** In 1945, **The People's Plan** was formulated by the **radical communist leader M.N. Roy, Chairman of the Post-War Reconstruction Committee** of Indian Trade Union.
- o The plan was based on Marxist socialism and advocated the need of providing the people with the 'basic necessities of life'.
- **Statement 2 incorrect:** Despite the core communist ideologies focus of the industrial worker the plan highlighted the importance of both **Agricultural and industrial sectors**.
- o Many economists have attributed the socialist leanings in Indian planning to this plan. The common minimum programmes of the **United Front Government of the mid-nineties** (20th century) and that of the United Progressive Alliance of 2004 may also be thought to have been inspired from the same plan.
- o 'Economic reforms with the human face', the slogan

with which the economic reforms started in the early 1990s also has the resonance of this People's Plan.

Source: Indian economy- Ramesh Singh

Q.17) Ans: b

Exp:

- **Statement 1 incorrect:** **The Sarvodaya Plan** was formulated After the reports of the National Planning commission were published and the government was set to go for the five year plans, a lone blueprint for the planned development of India.
- o It was formulated by the famous socialist leader **Jayaprakash Narayan— the Sarvodaya Plan was published in January 1950**.
- o **Raj Narain** (15 March 1917 – 31 December 1986) was an Indian freedom fighter and politician. He won in a famous electoral malpractice case against the then Prime Minister Indira Gandhi, which led to her disqualification and imposition of Emergency in India in 1975 **but does not participate in Sarvodaya plan formulation**.
- **Statement 2 correct:** The plan drew **its major inspirations from the Gandhian techniques of constructive works by the community and trusteeship** as well as the Sarvodaya concept of **Acharya Vinoba Bhave**, the eminent Gandhian constructive worker.
- o Major ideas of the plan were highly similar to the Gandhian Plan like emphasis on **agriculture, agro based small and cottage industries, self-reliance** and almost no dependence on foreign capital and technology, land reforms, self-dependent villages and decentralised participatory form of planning and economic progress, to name the major ones.
- **Statement 3 correct:** By the early 1960s, Jayaprakash Narayan had become highly **critical of the Indian planning process**, especially of its increasing **centralising nature and dilution of people's participation in it**.
- o This led the **Jayaprakash Narayan Committee** (1961) to decide to protest against the centralising nature of Indian planning. The committee pointed out that after having **accepted Panchayati Raj as the agency responsible for planning and execution** of plans, there



is “no longer any valid reason for continuing the individual allocations subject wise even to serve as a guide.”

Source: Indian economy- Ramesh Singh

Q.18) Ans: d

Exp:

- The economic reform programme, that India launched after the 1991 Indian economic crisis, consisted of two categories of measures.
- **Statement 1 incorrect: Macroeconomic Stabilisation Measures** which includes all those economic policies which intend to boost the **aggregate demand in the economy**—be it domestic or external.
 - o For the **enhanced domestic demand**, the focus has to be on increasing the purchasing power of the masses, which entails an emphasis on the creation of gainful and quality employment opportunities
- **Statement 2 incorrect: Structural Reform Measures** which includes all the policy reforms which have been initiated by the government to boost the **aggregate supply of goods and services in the economy**.
 - o It naturally entails **unshackling the economy** so that it may search for its own potential of enhanced productivity.
 - o For the **purchasing capacity of the people** to be increased, the economy needs increased income, which comes from increased levels of activities.
 - o **Income so increased** is later distributed among the people whose purchasing power has to be increased—this will take place by properly initiating a suitable set of macroeconomic policies.

Source: Indian economy- Ramesh Singh

Q.19) Ans: c

Exp:

- **Option C correct:** Both option A and B describe Globalisation.
 - o **The process of Globalisation** has always been used in economic terms though it has always taken the **political and cultural dimensions**.
 - o Once economic changes occur it has several socio-

political manifestations.

- o **Globalisation is generally termed as ‘an increase in economic integration among nations’.**
- o Even before several nation-states were not even born, the countries around the world had gone for globalisation, i.e., ‘a closer integration of their economies’.
- o This globalisation lasted from 1800 to almost 1930, interrupted by the Great Depression and the Two Wars which led to retrenchment and several trade barriers were erected in the early 1930s.
- o The concept was popularised by the **Organisation of Economic Cooperation and Development (OECD)** in the mid-1980s again after the Wars.
- o The official meaning of globalisation for the WTO is movement of the economies of the world towards **“unrestricted cross border movements of goods and services, capital and the labour force”**.
- o It simply means that the economies who are signatories to the **process of globalisation** (i.e., signatories to the WTO) for them there will be nothing like foreign or indigenous goods and services, capital and labour.
- o For many political scientists **globalisation is the emergence of a situation when our lives are increasingly shaped by the events that occur at a great distance from us about which the decisions are not taken by our conscious self**.

Source: Indian economy- Ramesh Singh

Q.20) Ans: c

Exp:

- **Option C correct: Technology sector reform was included in fourth Generation reforms.**
 - o There were no such announcements or proposals while India launched its reforms in 1991, in the coming times, **many ‘generations’ of reforms were announced by the governments**. A total of three generations of reforms have been announced till date, while experts have gone to suggest the fourth generation, too.
- **First Generation Reforms (1991–2000)** was performed in the year 2000–01 when the government, for the first time, announced the need for the Second



Generation of economic reforms and it was launched in the same year.

- o The ones which had been initiated by then (i.e., from **1991 to 2000**) were called by the government as the reforms of the **First Generation**.

- o The broad coordinates of the **First Generation of reforms** may be seen as under:

- § **Promotion to Private Sector**

- § **Public Sector Reforms**

- § **External Sector Reforms**

- § **Financial Sector Reforms**

- § **Tax Reforms**

- o A major re-direction was ensued by this **generation of reforms in the economy**—the ‘command’ type of the economy moved strongly towards a market-driven economy, private sector (domestic as well as foreign) to have greater participation in the future.

Source: Indian economy- Ramesh Singh

Q.21) Ans: d

Exp:

- **Statement 1 incorrect:** The National Development Council (NDC) was set up on August 6, 1952 by a Resolution issued from the Cabinet Secretariat.

- o The NDC initially **comprised the Prime Minister of India (de facto Chairman), the Chief Ministers of all States and the Members of the Planning Commission**.

- o After considering the recommendations of the ‘Administrative Reforms Commission’, the NDC was reconstituted and its functions redefined by a Cabinet Resolution on **October 7, 1967**.

- o The reconstituted NDC comprises the **Prime Minister, all Union Cabinet Ministers, Chief Ministers of all States and Union Territories and the Members of the Planning Commission**.

- o **Delhi Administration** is represented in the Council by the **Lt. Governor and the Chief Executive Councillor**, and the **remaining Union Territories by their respective Administrators**.

- **Statement 2 incorrect:** In the first meeting of the **NDC held on November 8–9, 1952**, Jawaharlal Nehru stated that NDC is “essentially a forum for intimate cooperation between the State

- o The NDC had its **last meeting held in December 2012**

(57th meeting).

Source: Indian economy- Ramesh Singh

Q.22) Ans: a

Exp:

- **Statement 1 correct:** The period for the **First Five year plan was 1951–56**. As the economy was facing the **problem of large-scale foodgrains import (1951)** and the pressure of price rise, the plan **accorded the highest priority to agriculture including irrigation and power projects**.

- o About **44.6 percent of the plan outlay went in favour of the public sector undertakings (PSUs)**. The Plan was launched with all the lofty ideas of socio-economic development, which had frustrating outcomes in the following years.

- **Statement 2 incorrect:** The plan period for **Second Plan** was 1956–61. The strategy of growth laid emphasis on **rapid industrialisation with a focus on heavy industries and capital goods**.

- o The plan was developed by Professor Mahalanobis. Due to the assumption of a closed economy, shortages of food and capital were felt during this Plan.

- **Statement 3 incorrect:** The Plan period for **Third Plan** was 1961–65. The Plan specifically incorporated the **development of agriculture** as one of the objectives of planning in India besides, for the first time, considering the aim of balanced, regional development.
- o Enough misfortunes awaited this plan—**two wars**, one with China in 1961–62 and the other with Pakistan in 1965–66 along the Gujarat border and a **severe drought-led famine in 1965–66** had to be faced. Due to **heavy drain and diversion of funds**, this plan utterly **failed to meet its targets**.

- o The target growth rate was 5.6%, but the **actual growth rate was 2.4%**.

Source: Indian economy- Ramesh Singh

Q.23) Ans: a

Exp:

- **Statement 1 correct:** The Plan period for **Fourth Plan** was 1969–74. The Plan was based on the Gadgil strategy with special **focus on the ideas of growth with**



stability and progress towards self-reliance.

o **The politicisation of planning started from this plan**, which took serious '**populist**' design in the coming plans. Frequent double-digit inflations, unreigned increase in the fiscal deficits, subsidy induced higher non-plan expenditures.

o The search for political stability at the Centre converted planning into a tool of real politics with greater and greater 'centralisation' ensuing plan after plan.

· **Statement 2 incorrect: Fifth Plan Five Year Plan (1974–79) has its focus on poverty alleviation.**

o The popular rhetoric of **poverty alleviation** was sensationalised by the government to the extent of launching a fresh plan i.e **The Twenty-point Programme (1975)** with a marginal importance being given to the objective of '**growth with stability**'.

o **The havoc of hyper-inflation led the government to hand over a new function to the Reserve Bank of India to stabilise the inflation** (the function which the RBI carries forward even today).

o **A judicious price wage policy** was started to check the menace of inflation on the wage-earners. This Plan saw an increase in the socio-economic and regional disparities despite the many institutional, financial and other measures which were initiated by the government to attend to them.

Source: Indian economy- Ramesh Singh

Q.24) Ans: d

Exp:

· **Option D correct:** The government launched the **Second Generation Of Reforms in 2000-01**.

o Basically, the reforms India launched in the early 1990s were **not taking place as desired and a need for another set of reforms was felt by the government**, which were initiated with the title of the Second Generation of economic reforms.

o These reforms were not only deeper and delicate, but required a higher political will power from the governments.

o **The major components of the reform are as given below:**

§ **Factor Market Reforms**

§ **Public Sector Reforms**

§ **Reforms in Government and Public Institutions**

§ **Legal Sector Reforms**

§ **Reforms in Critical Areas:**

§ **State's Role in the Reform**

§ **Fiscal Consolidation**

§ **Greater Tax Devolution to the States**

Source: Indian economy- Ramesh Singh

Q.25) Ans: d

Exp:

· **Statement 1 incorrect:** The period of the three consecutive **Annual Plans was 1966–69 called the Plan Holiday**. i.e., the planning was on a holiday.

o Though the Fourth Plan was ready for implementation in 1966.

o **The weak financial situation** as well as the **low morale after the defeat by China**, the government decided to go for an **Annual Plan for 1966–67**.

o Due to the same reasons the government went for another two such plans in the forthcoming years. The broader objectives of these Annual Plans were inside the design of the Fourth Plan which would have been **implemented for the period 1966–71** had the financial conditions not worsened by the

o Some economists as well as the opposition in the Parliament called this period as a discontinuity in the planning process, as the Plans were supposed to be for a period of five years. **They named it a period of "Plan Holiday"**.

· **Statement 2 incorrect:** The Janata Government **did cut-short the Fifth Plan by a year ahead of its final year**, i.e., by the fiscal 1977–78, in place of the decided 1978–79.

o A fresh Plan, the **Sixth Plan for the period 1978–83 was launched by the new government which called it the 'Rolling Plan'**.

o It should be **noted here that there is nothing like the Rolling Plan** in the official documents of planning in India.

Source: Indian economy- Ramesh Singh

<https://deeplythinking.wordpress.com/2011/06/15/196>



[6-famine-in-india/](#)

Q.26) Ans: b

Exp:

Option B correct:

- **Seventh Five Year Plan (1985–1990)** emphasised on **rapid foodgrain production, increased employment creation and productivity** in general.
- **The basic tenets of planning, i.e., Growth, Modernisation, Self-reliance and Social Justice remained as the guiding principles.**
- **The Jawahar Rozgar Yojana (JRY) was launched in 1989** with the motive to create wage-employment for the rural poor.
- Some of the already existing programmes, such as the **IRDP, CADP, DPAP and the DDP were reoriented.**
- Till date, the **government has been evaluating the achievements of all the developmental programmes**, courtesy the youngest PM of India.
- Somehow, **democracy and development got connected** with a major change in the thinking of the political elite, which decided to go in for democratic decentralisation to promote development.
- o It laid strong foundations for itself as the constitutional amendments—the 73rd and 74th were possible by the early 1990s.
- Though the **economy had better growth rates** throughout the 1980s, especially in the latter half, it was at the cost of bitter fiscal imbalances.
- By the end of the Plan, **India had a highly unfavourable balance of payments situation.**

Source: Indian economy- Ramesh Singh

Q.27) Ans: c

Exp:

Option C correct:

- **The Eleventh Five Year Plan** proposes the objective of the **Issues pertaining to urbanisation**, and Solving Special problems of tribal development.
- **The Twelfth Five Year Plan** proposes the objective of **‘universal healthcare’**. Simultaneously, it also points to the need
- o to ensure maximum efficiency in terms of outcomes

for the resources allocated to these sectors.

- **The Ninth Plan (1997–2002)** was launched when there was an all round ‘slowdown’ in the economy led by the South East Asian Financial Crisis (1996–97).
 - o Though the liberalisation process was still criticised, the economy was very much out of the fiscal imbroglio of the early 1990s.
 - o With a general nature of **‘indicative planning’**, the Plan not **only did target an ambitious high growth rate** (7 per cent), but also tried to direct itself towards time-bound ‘social’ objectives.
 - o There was an emphasis on the seven identified **Basic Minimum Services (BMS)** with additional
 - o Central Assistance for these services with a view to obtaining complete coverage of the population in a time-bound manner.
 - o **The BMS included:**
 - § **Safe drinking water**
 - § Primary health service
 - § Universalisation of primary education
 - § Public housing assistance to the shelterless poor families
 - § **Nutritional support to children**
 - § Connectivity of all villages and habitations
 - § **Streamlining of the public distribution System**
- Source:** Indian economy- Ramesh Singh

Q.28) Ans: b

Exp:

- **Statement 1 incorrect:** After India achieved independence, a formal model of planning was adopted, and accordingly the Planning Commission, reporting directly to the Prime Minister of India, was established on 15 March 1950, with Prime Minister Jawaharlal Nehru as the Chairman.
 - o First Finance commission was established in 1951 with K. C. Neogy as Chairman.
- **Statement 2 correct:** All grants or loans given by the Centre to the states for developmental works are practically dependent on the recommendations of the Planning Commission. And that is why the role of the Planning Commission was said to ‘confine’ the role of the Finance Commission.
 - o **P.J. Rajamannar who headed the Finance**



Commission (1966–69) suggested defining the relative scope and functions of the two commissions by amending the Constitution, and the **Planning Commission was advised to be made a statutory body independent of the government.**

§ But no such follow ups came from the successive governments at the Centre.

Source: Indian economy- Ramesh Singh

Q.29) Ans: d

Exp:

- **Statement 1 incorrect:** Announcements of the **third generation of reforms** were made on the margins of the launching of the Tenth Five Year Plan (2002–07).
 - o This generation of reforms commits to the **cause of a fully functional Panchayati Raj Institution (PRIs)**, so that the benefits of economic reforms, in general, can reach to the grassroots.
- **Statement 2 incorrect:** The constitutional arrangements for a decentralised developmental process was already effected in the early 1990s, it was in the early 2000s that the government got **convinced of the need of 'inclusive growth and development'**.
 - o Till the masses are not involved in the process of development, the development will lack the **'inclusion' factor**, it was concluded by the government of the time.
 - o **The Eleventh Plan goes on to ratify the same sentiments (though the political combination at the centre has changed) and views regarding the need for the third generation of reforms in India.**

Source: Indian economy- Ramesh Singh

Q.30) Ans: c

Exp:

- **Function 1 incorrect:** Election Commission of India have the function of:
 - o ECI is responsible for a free and reasonable election
 - o It ensures that political parties and candidates adhere to the Model Code of Conduct
 - o Regulates parties and registers them as per eligibility to contest in elections

o **Proposes the limit of campaign expenditure per candidate to all parties and monitors the same.**

· **Function 2, 3 and 5 correct:** The NITI Aayog(2015) is a public policy think tank of the Government of India, established with the aim to achieve sustainable development goals with cooperative federalism by fostering the involvement of State Governments of India in the economic policy-making process using a bottom-up approach.

o NITI Aayog, is designed to live up to the principle of 'Team India' with its following **officially demarcated functions:**

§ **Cooperative and Competitive Federalism**

§ Shared National Agenda

§ State's Best Friend at the Centre

§ Decentralised Planning

§ **Vision & Scenario Planning**

§ Domain Strategies

§ Knowledge and Innovation Hub

§ Harmonisation

§ **Conflict Resolution**

§ Coordinating interface with the World

§ Internal Consultancy

§ Capacity Building

§ Monitoring and Evaluation

· **Function 4 incorrect:** Finance Commission has the functions of:

o The principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India.

o **The measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayats in the State on the basis of the recommendations made by the Finance Commission of the State.**

Source: Indian economy- Ramesh Singh

<https://www.financialexpress.com/what-is/finance-commission-meaning/1620261/>

<https://cleartax.in/s/election-commission-india-eic>

<https://fincomindia.nic.in/ShowContentOne.aspx?id=8&Section=1>

Q.31) Ans: c



Exp:

- **Option C correct:** Full-time Organisational Framework: In addition to PM as its Chairman it will comprise:
 - o **Vice-Chairperson—to be appointed by the PM.**
 - o Members: all full-time.
 - o **Part-time Members: maximum of 2, from leading universities, research organisations and other relevant institutions in an ex-officio capacity. Part time members will be on a rotational basis.**
 - o **Ex-Officio Members: maximum of 4 members of the Union Council of Ministers to be nominated by the PM.**
 - o **Chief Executive Officer: to be appointed by the PM** for a fixed tenure, in the rank of Secretary to the Government of India.
 - o Secretariat: as deemed necessary
- Source:** Indian economy- Ramesh Singh

Q.32) Ans: d

Exp:

- The Member of Parliament Local Area Development Scheme (MPLADS) was launched on December 23, 1993 with only Rs. 5 lakh given to each MPs which was increased to Rs. 1 crore in the year 1994–95.
 - o When the **MPs did put a demand to increase the sum to Rs. 5 crore in 1997–98**, finally the government enhanced it to Rs. 2 crore in 1998–99. **In April 2011 the corpus was enhanced to Rs. 5 crore** while announcing the new guidelines.
 - o Under this **scheme the Members of Parliament recommend some works** (i.e., creation of fixed community assets, based on locally felt developmental needs) to the concerned District Magistrate.
- **Statements 2, 3 and 5 correct:** In May 2014, The Ministry of Statistics and Programme Implementation (MOSPI) issued the revised guidelines for the scheme which is simple, clear and understandable to all concerned. The fine points of the guidelines are as given below:
 - o It provides not only the **list of prohibited items under the scheme, but also that of permissible items.**
 - o In order to encourage trusts and societies to work for the betterment of tribal people, the ceiling of Rs. 50

lakh, stipulated for **building assets by trusts and societies in areas occupied by tribals**, has been enhanced to Rs. 75 lakh.

- o Further, to **promote cooperative movement** and rural development, the Cooperative Societies have also been made eligible under the MPLAD Scheme.
- o The abandoned or suspended MPLAD work to be completed by the states.
- o **Natural and man-made calamities** can also be allocated funds under it.
- o **Now the funds can be allocated by a MP outside of Constituency/State/UTs, too.**

• **Statements 1 and 4 correct:** As a part of the Government's **efforts to contain the spread of COVID – 19**, the Ministry of Statistics and Programme Implementation (MoSPI) has taken several preventive measures.

- o It issued a circular granting one-time dispensation for utilizing funds under the Members of Parliament Local Area Development Scheme (MPLADS) to address the challenges in the fight against COVID-19.
- o As per the amendments to MPLADS Guidelines, Members of Parliament can now utilize funds under MPLADS for the following:-

§ **Infra-Red thermometers (Non-contact) to enable doctors and medical personnel to record and track a person's temperature.**

§ Personal Protection Equipment (PPE) Kits to keep the medical personnel well-protected and enable them to function efficiently by minimizing the risk of transmission.

§ Thermal imaging scanners or cameras for railway stations, airports and other points of entry which allow detecting temperature from a safe distance.

§ CORONA testing kits approved by M/o Health and Family Welfare

§ ICU Ventilator and Isolation/ Quarantine Wards within their approved facilities.

§ **Face masks, gloves and Sanitizers for medical personnel.**

§ Any other medical equipment recommended by the Ministry of Health and Family Welfare for prevention, control and treatment of COVID-19.

Source: Indian economy- Ramesh Singh



<https://pib.gov.in/PressReleasePage.aspx?PRID=160794>

Q.33) Ans: b

Exp:

- **Statement 1 incorrect:** The Central Sector Schemes are 100 percent funded by the Union Government and implemented by the Central Government machinery.
 - o These schemes are mainly formulated on subjects from the Union List. In addition, the Central ministries also implement some schemes directly in the states/UTs, which are called Central Sector Schemes, **but resources under these schemes are not generally transferred to states.**
- § As per the Union Budget 2016–17, the existing 1,500 such schemes have been restructured into 300 by the GoI.
- **Statement 2 incorrect:** Under the Centrally Sponsored Schemes (CSSs) a certain percentage of the funding is borne by the Centre and the states in fixed ratios and the implementation is done by the state governments.
 - o CSSs are formulated in subjects from the State List to encourage states to prioritise in areas that require more attention.
 - o Funds are routed either through the Consolidated Fund of the states and or are transferred directly to state/ district level autonomous bodies/implementing agencies.
 - o The difference between the two has arisen because of the historical evolution and the way these are being budgeted and controlled and release of funds takes place. In case of CSSs, the budgets are allocated under concerned ministries themselves which look after the entire process of the release of funds, too.
- **Statement 3 correct:** Mahatma Gandhi National Rural Employment Guarantee Program
 - o **Funding: Funding is shared between the centre and the states.**
 - o There are three major items of expenditure:
 - § Wages (for unskilled, semi-skilled and skilled labour), material and administrative costs.
 - § The central government bears 100% of the cost of unskilled labour, 75% of the cost of semi-skilled and skilled labour, 75% of the cost of materials and 6% of

the administrative costs and the remaining are funded by States.

Source: Indian economy- Ramesh Singh

<https://www.google.com/url?sa=t&rct=j&q=&esrc=s&source=web&cd=&ved=2ahUKewiQruac07TxAhV6umMGHbfsBTIQFjANegQIAhAD&url=https%3A%2F%2Fwww.indiabudget.gov.in%2Fdoc%2Feb%2Fstat4b.pdf&usg=AOvVaw06CuvL3AaFxTkelOmPtT5P>

<https://www.indiabudget.gov.in/doc/vol1>

Q.34) Ans: a

Exp:

- **Statement 1 correct:** In the early period of Indian planning history the PSUs were also **seen as an important part of the employment generation strategy.**
 - o A government in a democratic set up cannot think only economics, but it has to **realise the socio-political dimensions of the nation too.** The country was faced with the serious problem of poverty and the workforce was increasing at a fast rate.
 - o **Giving employment to the poor people** is a time-tested tool of poverty alleviation. The PSUs were thought to create enough jobs for the employable workforce of the Economy.
 - o **The PSUs were considered by the government as the focus of the 'trickle-down effect'. The government did everything to set up and run the PSUs as the benefits were supposed to percolate to the masses, finally reinforcing growth and development in the country.**
- **Statement 2 incorrect:** At a point of creating various PSUs in India, **Nehru** even mentioned the PSUs as the **'temples of modern India'**. The government went to commit even a job in every household via the PSUs—without calculating the dimensions of the future labour force in the country and the required resources to create jobs at such a high scale.
 - o **But the government went on creating new PSUs without analysing the fiscal repercussions,** moreover believing them to be the real engine of equitable growth.
 - o The employment generation responsibility of the **PSUs was extended to such an extent by the**



government that most of them had over-supply of the labour force which started draining its profits on account of salaries, wages, pensions and provident funds.

Source: Indian economy- Ramesh Singh

<https://pib.gov.in/PressReleasePage.aspx?PRID=169323>
1

Q.35) Ans: c

Exp:

- **Statement 1 incorrect:** The National Development Council (NDC) approved the Eleventh Plan on 19th December 2007 to raise the average economic growth rate to 9 percent from 7.6 percent recorded during the Tenth Plan.

- o The total outlay of the Eleventh Plan has been placed at Rs.3644718 crore which is more than double of the total outlay of the previous Tenth Plan.

- o In this proposed outlay, the contribution of Central Government and State governments will be Rs.2156571 crore and Rs. 1488147 crore respectively.

- **Statement 2 correct:** Eleventh Five Year Plan had following Salient Features:

- o The investment rate has been proposed to be raised to 36.7 percent from 30.8 percent in the previous plan.

- o The draft document has envisaged a savings rate of 34.8 percent, which is substantially higher than 30.8 percent recorded in the Tenth Plan.

- o The major thrust of the plan will be on the social sector, including agriculture and rural development.

- **Statement 3 correct:** Main Targets of the Eleventh Plan-

- o Accelerate GDP growth from 8% to 10% and then maintain at 10% in the 12th plan in order to double per capita income by 2016-17.

- o Create 70 Million new work opportunities.

- o Reduce educated unemployment to below 5%.

- o **Reduce poverty by 10 percentage points.**

Source: Indian economy- Ramesh Singh

<https://www.yourarticlelibrary.com/planning/indias-eleventh-five-year-plan-2007-2012/23420>

Q.36) Ans: a

Exp:

- **Statement 1 incorrect:** Rather than project a single average growth rate over the five-year period, the Twelfth Five Year Plan (2012-17) envisaged three scenarios termed as “strong inclusive growth”, “insufficient action” and “policy logjam”.

- o The Plan pegged the average annual growth rate of the Gross Domestic Product (GDP) under the three scenarios at 8 per cent, 6 to 6.5 per cent and 5 to 5.5 per cent, respectively.

- **Statement 2 correct:** The Twelfth Five Year Plan (2012-13 to 2016- 17) was launched amidst a slowdown of the economy on account of several domestic and global factors.

- o The major issues and challenges included a high Current Account Deficit (CAD) and a fall in the domestic savings rate, coupled with a high fiscal deficit.

- o This not only acted as a constraint on further government spending but also crowded out private investment and fueled inflation.

- o During the initial years of the Twelfth Plan, tight monetary policy to tackle higher levels of inflation coupled with a downturn in the business environment hampered growth.

- o The fiscal consolidation measures by curtailing government expenditure also dragged growth down as it was not compensated for by higher levels of private investment.

Source: <http://niti.gov.in/APPRaisal DOCUMENT OF TWELFTH FIVE YEAR PLAN>

Q.37) Ans: d

Exp:

- **Pair 1 is correct:** Structural inflation is the situation due to the operation of the structural weakness -supply bottleneck, lack of infrastructure, etc. It mostly exists in a developing economy where markets are underdeveloped as well as highly volatile due to the existence of weak institutions and imperfect working of markets. These economies face shortage of supply and excessive demand due to the structural inefficiencies.



· **Pair 2 is incorrect:** Quantitative Easing is a type of monetary policy in which a central bank purchases longer-term securities from the open market in order to increase the money supply and encourage lending and investment. Quantitative easing may cause higher inflation than desired if the amount of easing required is overestimated and too much money is created by the purchase of liquid assets.

· **Pair 3 is incorrect:** Disinflation is a decline in the rate of increase in the general price level of goods and services in the country over time. For example, if the annual inflation rate for the month of October is 6% and it is 4% in the month of November, the prices disinflated by 1% but are still increasing at a 4% annual rate.

Reference: RAMESH SINGH

Q.38) Ans: b

Exp:

· **Statement 1 is incorrect:** Deflation is a sign of a weakening economy. Many economists fear deflation because falling prices lead to lower consumer spending. The reduced consumer spending will affect economic growth negatively. Companies respond to falling prices by slowing down their production, which leads to layoffs and salary reductions. This also further reduces the spending capacity of the economy.

· **Statement 2 is correct:** Higher income tax will diminish the taxpayer's disposable income and leave consumer's wants unattended and therefore reduce the overall spending in the economy. This will cause a fall in aggregate demand which will eventually lead to a lower rate of inflation.

· **Statement 3 is correct:** When inflation is low, it is easier to predict future costs, prices and wages. The stability of low inflation encourages them to take on riskier investment; this can lead to higher growth in the long-term. Overall, low inflation contributes towards economic stability by encouraging savings and investment.

Reference: RAMESH SINGH

Q.39) Ans: a

Exp:

· **Option 1 is correct:** When a central bank buys government securities from the public, money is flowing from the central bank to the public in the economy. This increases the supply of money in circulation which has the potential to cause inflation in the economy.

· **Option 2 is incorrect:** The deposit of currency in commercial banks by the public doesn't lead to an increase in money supply as the money just gets transferred from public to commercial banks.

· **Option 3 is incorrect:** Open market operations refers to a central bank buying or selling short-term securities in the open market in order to influence the money supply, thus influencing short term interest rates which eventually affects the inflation rate in the economy. Buying securities adds money to the system, making loans easier to obtain and interest rates decline, causing the inflation to increase and selling securities from the central bank's balance sheet removes money from the system, making loans more expensive and increasing rates, causing the inflation to decrease.

Reference: RAMESH SINGH

Q.40) Ans: c

Exp:

· **Statement 1 is correct:** Base Effect Refers to the impact of an increase in the price level (i.e. previous year's inflation) over the corresponding rise in price levels in the current year (i.e., current inflation).

· **Statement 2 is correct:** Cash Reserve Ratio (CRR) is the share of a bank's total deposit that is mandated by the Reserve Bank of India (RBI) to be maintained with the latter as reserves in the form of liquid cash. When the cash reserve ratio is minimised, commercial banks will have more funds and hence, the money supply of the banking system will increase. When there is a rise in the money supply, excessive funds will result in high inflation.

Reference: RAMESH SINGH

Q.41) Ans: d



Exp:

- **Statement 1 is incorrect:** The GDP deflator, also called implicit price deflator, is a measure of inflation. It is calculated by dividing the value of goods and services an economy produces in a particular year at current prices (Nominal GDP) to that of prices that prevailed during the base year (Real GDP) and then multiplying by 100. This ratio helps show the extent to which the increase in gross domestic product has happened on account of higher prices rather than increase in output.

- **Statement 2 is incorrect:** The deflator covers the entire range of goods and services produced in the economy — as against the limited commodity baskets for the wholesale or consumer price indices — it is seen as a more comprehensive measure of inflation.

- **Statement 3 is incorrect:** The gross domestic product implicit price deflator, or GDP deflator, measures changes in the prices of goods and services produced in the economy, including those exported to other countries. Prices of imports are excluded.

Reference: RAMESH SINGH

Q.42) Ans: a

Exp:

- **Statement 1 is correct:** The Laspeyres Price Index is a consumer price index used to measure the change in the prices of a basket of goods and services relative to a specified base period weighting. A key differentiator between the Laspeyres Price Index and other indices (Paasche Price Index, Fisher Price Index, etc.) is that it uses weights taken from a base period. The Index is used for calculation of WPI, CPI, IIP.

- **Statement 2 is correct:** When inflation rises, the purchasing power goes down. If inflation outpaces the interest one earns on their savings, it will feel like losing money as the amount one saves or invests from the income every month may not rise at the same rate.

- **Statement 3 is incorrect:** The Consumer Price Index (CPI) is a measure that examines the weighted average of prices of a basket of consumer goods and services. It measures price changes from the perspective of a retail buyer. There are four types of CPI: CPI for Industrial Workers (IW), CPI for Agricultural Labourer (AL), CPI for Rural Labourer (RL) and CPI

(Rural/Urban/Combined).

Reference: RAMESH SINGH

Q.43) Ans: c

Exp:

- **Statement 1 is incorrect:** Although both the GDP deflator and the CPI are measures of the price level, the two do not necessarily move together all the time. The GDP deflator gives a different rate of inflation than the CPI because CPI also uses a fixed basket while GDP uses a basket of currently produced goods and services. Another key difference is that the GDP Deflator is a measure of the prices of all goods and services while the CPI is a measure of only goods bought by consumers. GDP deflator is available only on a quarterly basis along with GDP estimates, whereas CPI and WPI data are released every month.

- **Statement 2 is incorrect:** The Consumer Price Index is computed using a fixed basket of goods, whereas the GDP deflator allows the basket of goods to change over time as the composition of GDP changes. Therefore, new expenditure patterns are allowed to show up in the deflator as people respond to changing prices. The GDP deflator reflects up-to-date expenditure patterns unlike CPI which is based on a fixed basket of goods.

Reference: RAMESH SINGH

Q.44) Ans: b

Exp:

- **Statement 1 is incorrect:** CPI is calculated for a fixed list of items including food, housing, apparel, transportation, electronics, medical care, education, etc. However, the CPI does not include investment items, such as stocks, bonds, real estate, and life insurance as these items relate to savings and not to day-to-day consumption expenses. The CPI also excludes taxes, such as income and Social Security taxes, not directly associated with the purchase of consumer goods and services.

- **Statement 2 is correct:** The Reserve Bank of India (RBI) has adopted the Consumer Price Index (CPI) (combined- rural and urban) as the key measure of



inflation in 2014. Adoption of CPI as a measure of inflation is intended to better gauge inflation expectations because CPI reflects cost of living. This will make clear that inflation is the RBI's primary objective and that it expects to be held accountable for its performance in this regard. Besides, it will also help RBI in better anchoring the monetary policy.

Reference: RAMESH SINGH

Q.45) Ans: c

Exp:

- **Statement 1 is correct:** Indirect taxes make the distribution of income more unequal because of their regressive effects. The poor will get taxed a higher proportion of their income than the rich, making it a regressive tax. Higher indirect taxes can cause cost-push inflation which can lead to a rise in inflation expectations.

- **Statement 2 is incorrect:** Both Monetary and Fiscal Policies of the government affect the Inflation directly or indirectly. Fiscal policy affects aggregate demand through changes in government spending and taxation. Those factors influence employment and household income, which then impact consumer spending and investment which eventually influences Inflation. Also, the Monetary policy impacts the money supply in an economy, which influences interest rates and the inflation rate.

- **Statement 3 is correct:** The lower the interest rate, the more willing people are to borrow money as the consumers pay less in interest. This gives them more money to spend, which can create a ripple effect of increased spending throughout the economy. A growing money supply in the economy increases inflation. Thus, low interest rates can result in inflation in the economy.

Reference: RAMESH SINGH

Q.46) Ans: c

Exp:

- **Statement 1 is correct:** The twin factors that affect a bond's price are inflation and changing interest rates. A rise in either interest rates or the inflation rate will

tend to cause bond prices to drop. Inflation and interest rates behave similarly to bond yields, moving in the opposite direction from bond prices. In short, inflation makes interest rates go up. This in turn makes bond values go down. Exception- A Bond with a fixed coupon rate will hold the same interest rate, no matter what happens in the market.

- **Statement 2 is correct:** Unlike stocks, the principal value of a bond is returned to the investor in full at maturity. This can make bonds attractive to risk-averse investors who are concerned about losing their capital. Although bonds are often viewed as a capital preservation tool, they also offer opportunities for capital appreciation.

Reference: RAMESH SINGH

Q.47) Ans: b

Exp:

- **Pair 1 is incorrect:** Lorenz curve is a pictorial portrayal of inequality in income or inequality in wealth. It was developed by Max O. Lorenz in 1905 for representing inequality of the wealth distribution. The graph outlines wealth or income against the population on the horizontal axis, while the vertical axis depicts income or wealth. Lorenz Curve helps in showing distribution of income among the people, enables the comparison of two or more factors of production and helps with comprehending the changes in wages and inequality of income.

- **Pair 2 is correct:** The Phillips curve shows the inverse trade-off between rates of inflation and rates of unemployment. If unemployment is high, inflation will be low; if unemployment is low, inflation will be high. It shows the tradeoff between unemployment and inflation in an economy. The policies to induce growth in an economy, increase in employment and sustained development are heavily dependent on the findings of the Phillips curve.

- **Pair 3 is correct:** The Kuznets curve shows that as an economy develops, market forces first increase and then decrease economic inequality. Kuznets' inverted-U hypothesis implies that economic growth worsens income inequality first and improves it later at a higher stage of economic development.



Reference: RAMESH SINGH

Q.48) Ans: a

Exp:

- **Statement 1 is incorrect:** A devaluation (depreciation) occurs when the exchange rate falls in value. This causes exports to be cheaper and imports to be more expensive. In theory, it can help increase economic growth, though it may cause inflation because of higher import prices and rising demand for exports.

- **Statement 2 is correct:** When the economy is growing, it involves inflation rising as real gross domestic product rises and unemployment falls, as the economy moves along the Phillips curve. In this scenario, the consumers feel confident and they spend more but the manufacturers literally can't make them fast enough leading to a demand pull inflation.

- **Statement 3 is incorrect:** Demand Pull Inflation is commonly described as "too much money chasing too few goods". When the aggregate demand in an economy strongly outweighs the aggregate supply, prices go up. In Keynesian economic theory, an increase in employment leads to an increase in aggregate demand for consumer goods.

Reference: RAMESH SINGH

Q.49) Ans: c

Exp:

- **Pair 1 is incorrect:** Full employment is when all available labor resources are being used in the most efficient way possible. Full employment embodies the highest amount of skilled and unskilled labor that can be employed within an economy at any given time. It does not mean a situation of zero unemployment because the minimum rate of unemployment always exists in the economy and other kinds of unemployment, such as structural and frictional, may remain.

- **Pair 2 is correct:** Sovereign Gold Bonds are government securities denominated in grams of gold. They are substitutes for holding physical gold and because of this there are no storage issues for Sovereign

Gold Bonds. Investors have to pay the issue price in cash and the bonds will be redeemed in cash on maturity. The Bond is issued by the Reserve Bank on behalf of the Government of India.

- **Pair 3 is correct:** Laffer curve was developed by the economist, Arthur Laffer. The curve shows how tax revenues change when the tax rate is either increased or decreased. Typically, it has an inverted-U shape. The Laffer Curve states that if tax rates are increased above a certain level, then tax revenues can actually fall because higher tax rates discourage people from working. It depicts that lower tax rates boost economic growth.

Reference: RAMESH SINGH

Q.50) Ans: b

Exp:

- **Statement 1 is incorrect:** High inflation in India means that goods and services in India will be more expensive than other countries because the companies will have to pay more to buy raw material, labour and other elements. Therefore, the exports will reduce. Domestically, rising inflation makes local goods more expensive and less attractive to customers at home, who increasingly turn to cheaper imports. These higher prices can also reduce exports because of competition in international trade.

- **Statement 2 is correct:** Effective demand in a market is the demand for a product or service which occurs when purchasers are constrained in a different market. It is the willingness and ability of consumers to purchase goods at different prices. It shows the amount of goods that consumers are actually buying. An increase in the effective demand can cause a general rise in the prices.

Reference: RAMESH SINGH

Q.51) Ans: d

Exp:

- **Statement 1 is incorrect:** The Reserve Bank of India Act, 1934, was amended by the Finance Act, 2016, to set up the MPC in order to introduce transparency



and accountability in the way monetary policy decisions are made. The Monetary Policy Committee is a statutory and institutionalized framework for maintaining price stability, while keeping in mind the objective of growth.

- **Statement 2 is incorrect:** The Basel Accords are a series of three sequential banking regulation agreements (Basel I, II, and III) set by the Basel Committee on Bank Supervision (BCBS). The Committee provides recommendations on banking and financial regulations, specifically, concerning capital risk, market risk, and operational risk.

- **Statement 3 is incorrect:** The Governor of RBI is ex-officio Chairman of the committee. The committee comprises six members (including the Chairman) - three officials of the RBI and three external members nominated by the Government of India. Decisions are taken by majority with the Governor having the casting vote in case of a tie. The MPC determines the policy interest rate (repo rate) required to achieve the inflation target (4%).

Reference: RAMESH SINGH

Q.52) Ans: c

Exp:

When money demand decreases, the demand curve for money shifts to the left, leading to a lower interest rate. Low interest rate environments are meant to stimulate economic growth by making it cheaper to borrow money to finance investment in both physical and financial assets. The consumers also pay less in interest, this gives them more money to spend, which can create a ripple effect of increased spending throughout the economy. When the supply of money is increased by the central bank, the supply curve for money shifts to the right, leading to a lower interest rate.

Reference: RAMESH SINGH AND UPSC PREVIOUS YEAR PAPER

Q.53) Ans: d

Exp:

Repo rate is the rate at which the Central Bank grants

loans to commercial banks against government securities. The reduction in the repo rate means that industries may be able to get loans at cheaper interest rates from lenders. This is likely to result in commodities becoming cheaper due to lower interest costs, ultimately the end consumer. The decrease in repo rates is to aim at bringing in growth and improving economic development in the country.

Reference: RAMESH SINGH AND UPSC PREVIOUS YEAR PAPER

Q.54) Ans: c

Exp:

- **Statement 1 is correct:** Community is composed of the individuals of the different species that depend on each other for their needs and survival.

- **Statement 2 is correct:** Population is composed of the individuals of the same species at a particular geographical area and at a particular time. The level of interaction of the organisms in an ecology is represented as:

Individual ⇒ **Population** (same species) ⇒ **Community** (different species) ⇒ **Ecosystem** ⇒ **Biome** ⇒ **Biosphere**.

55. Ans: a

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Q.56) Ans: a

Exp:

- **Statement 1 is correct:** Nutrient cycles refers to



the cyclic movement of the nutrients from the environment to the living beings. It is essential for the survival of life on earth and hence must be balanced and stable. There are mainly two types of Nutrient cycles: **Gaseous cycles** (where the reservoir is the atmosphere, example: water, carbon and nitrogen cycles) and the **Sedimentary cycles** (where the reservoir is the earth's crust, example: phosphorus, sulphur, etc). Nutrient cycles can also be classified as the **Perfect nutrient cycles** (where the nutrients are replaced as fast as they are used. Gaseous cycles are the examples of perfect nutrient cycles.) and the **Imperfect Nutrient cycles** (In these some of the nutrients are lost and get locked into the sediments of the earth. Sedimentary cycles are the examples of the imperfect nutrient cycles).

- **Statement 2 is incorrect:** Bioaccumulation and biomagnification refers to the movement of the pollutants (mainly non biodegradable) from one trophic level to another eventually to higher organisms in quantities that are harmful for their survival.

Bioaccumulation: It is the entering of the pollutant into the food chain in increased concentration from the environment.

Biomagnification: It is the increase in the concentration of the pollutant from one trophic level to another in a food chain.

Q.57) Ans: a

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Biomagnification: It is the increase in the concentration of the pollutant from one trophic level to another in a food chain.

Q.58) Ans: b

Exp:

- **Statement 1 is incorrect:** The interaction among the various organisms are essential for their survival. **Competition** is a type of biotic interaction in which both the interacting species are harmed. Eg., two different species competing for the same limited resource.

- **Statement 2 is correct:** **Predation** is a kind of biotic interaction in which one species is positively impacted or benefitted while the other is harmed.

- **Statement 3 is incorrect:** **Commensalism** involves benefit of one of the species while the other is not affected. Eg., cow dung and beetles.

- **Statement 4 is incorrect:** **Amensalism** is a type of biotic interaction where one species is negatively impacted while the other is not affected. Eg., undergrowth and a tree.

Q.59) Ans: b

Exp:

- **Statement 1 is incorrect:** Savannah climate has an alternate dry and wet season just like the monsoon climate but with less annual rainfall. Also, there does not exist a distinct rainy season like that in the monsoon climates.

- **Statement 2 is correct:** Parts of Northern



Karnataka, Southern Maharashtra, and Telangana exhibit characteristics of Savanna climate in the Indian case.

- **Statement 3 is correct:** Another important characteristic feature of the Savannah is the extreme diurnal range of temperature. Days are hot and nights are cold.
- **Statement 4 is incorrect:** Savannah is known as the land of the big as animals in huge numbers are trapped and killed every year in this region.

Q.60) Ans: a

Exp:

- **Statement 1 is correct:** Ladakh is a cold desert lying in the Great Himalayas. The Karakoram Range lies to the North of it while to the south lies the Zaskar. As it lies in the rain shadow area of the Himalayas there is little rainfall experienced by it.
- **Statement 2 is incorrect:** Soils in the cold desert area are acidic. They are arid with little moisture and rich in nutrients. They carry very little or no organic matter in them.

Q.61) Ans: b

Exp:

- **Statement 1 is incorrect:** Ozone is formed naturally in the upper layers of the atmosphere where it is essential for the survival of life on earth as it acts as a shield that protects life on earth from the harmful ultraviolet radiations of the sun. However, at the ground level ozone acts as a pollutant. It can also be formed at the ground level with the interaction of the **nitrogen oxides** (from the vehicular emissions) and **volatile organic compounds** (from paints, petroleum products, etc.) in the presence of sunlight. Hence, ozone can be formed both at the ground level and also in the atmosphere.
- **Statement 2 is correct:** Photochemical smog is formed when sunlight interacts with smog (smoke and fog). It is a type of air pollution where the sunlight interacts with the various chemicals present in the

earth's atmosphere. Ozone is regarded as the one of the chief components of the Photochemical Smog.

Q.62) Ans: b

Exp:

- **Statement 1 is incorrect:** National Air Quality Index launched in 2014 acts as a “One Number-One color-One description” to judge the air quality by the common man of the nearby areas. It comprises of **eight** pollutants:

- Particulate Matter (PM₁₀),
- Particulate Matter (PM_{2.5}),
- Nitrogen Dioxide (NO₂),
- Sulphur Dioxide (SO₂),
- Carbon Monoxide (CO),
- Ozone (O₃),
- Ammonia (NH₃),
- Lead (Pb).

The index divides the air quality into **six categories**: Good, Satisfactory, Moderately Polluted, Poor, Very poor, Severe. The index has been developed by **CPCB** in consultation with IIT Kanpur.

- **Statement 2 is correct:** Central Pollution Control Board (CPCB) had formulated the ambient air quality standards as per the Air (Prevention and Control of Pollution) Act, 1981. These standards have been revised by CPCB in 1994, and later in 2009. They include a set of 12 pollutants and hence are more comprehensive than the National Air Quality Index. These pollutants are:

- Sulphur dioxide
- Nitrogen dioxide
- Particulate matter (< 10 µm) or PM₁₀
- Particulate matter (< 2.5 µm) or PM_{2.5}
- Ozone (O₃)
- Lead (Pb)
- Carbon monoxide (CO)
- Ammonia (NH₃)
- Benzene
- Benzo(α)Pyrene (BaP) – particulate phase only
- Arsenic (As)
- Nickel (Ni)

Q.63) Ans: a



Exp:

- **Statement 1 is correct:** The **Central Pollution Control Board (CPCB)** is a **statutory** organization, under the **Water (Prevention and Control of Pollution) Act, 1974**. It is also entrusted with the powers and functions under the **Air (Prevention and Control of Pollution) Act, 1981**.

- o **Main functions of the CPCB are:**

- o to promote cleanliness of streams and wells in different areas of the States by prevention, control, and abatement of water pollution, and
- o to improve the quality of air and to prevent, control or abate air pollution in the country.

- **Statement 2 is incorrect:** In pursuant to the Hon'ble Supreme Court's order in the M. C. Mehta vs. Union of India (2016) regarding air quality in National Capital Region of Delhi, a **Graded Response Action Plan** has been prepared for implementation under different Air Quality Index (AQI) categories namely, Moderate & Poor, Very Poor, and Severe as per National Air Quality Index. A new category of "Severe+ or Emergency" has been added. Ministry of Environment, Forests & Climate Change has notified for implementation of Graded Response Action Plan through **Environment Pollution (Prevention & Control) Authority** and not through CPCB.

Q.64) Ans: b

Exp:

- **Statement 1 is incorrect:** International Renewable Energy Agency (IRENA) is an intergovernmental organization that supports countries to transition to a sustainable energy future. It is not a part of the United Nations. IRENA is an official UN observer. It is the only international organization working for the advance of renewable energy in the world, headquartered in Abu Dhabi.

- **Statement 2 is correct:** The IRENA membership is open to those states that are members of the United Nations, and to regional intergovernmental economic-integration organizations.

- **Statement 3 is correct:** RE map is an initiative by IRENA and it deals with the adoption of renewable energy by the countries in a bottom-up approach

manner with the collaboration of various experts, etc.

Q.65) Ans: d

Exp:

- **Statement 1 is incorrect:** Pradhan Mantri Kisan Urja Suraksha Evam Utthan Mahabhiyan (PM KUSUM) Scheme for farmers was launched by the Ministry of New and Renewable Energy (MNRE). The scheme aims to add solar and other renewable capacity of **25,750 MW by 2022**.

- **Statement 2 is incorrect:** the Ministry of New and Renewable Energy is the main implementing ministry for this scheme.

Q.66) Ans: b

Exp:

- **Statement 1 is incorrect:** **Pyrolysis** is a process of **chemical decomposition** of **organic matter** in the absence of air. It involves the heating of the organic matter until it is broken into a gas called the **syngas (Carbon monoxide + Nitrogen)**.

- **Statement 2 is correct:** Along with **Biomethanation** and **incineration**, **Pyrolysis** and **gasification** are used in the waste to energy conversion technologies.

- **Statement 3 is incorrect:** **Cogeneration process** makes use of a single fuel to generate two or more forms of energy. Heat energy is an essential product of cogeneration besides which mechanical or electrical energy can also be produced.

Q.67) Ans: c

Exp:

- **Statement 1 is correct:** Fuel cells are the **electrochemical devices** which do not involve combustion. They are used to directly convert the chemical energy of a fuel into electricity or the heat energy. They are composed of an electrolyte and two electrodes. Hydrogen is the most sustainable fuel for a fuel cell.

- **Statement 2 is incorrect:** **Hydrogen** or the mixture of compounds containing Hydrogen is the most suitable



fuel for almost all fuel cells in various applications.

- **Statement 3 is incorrect:** The biggest drawback of the fuel cells is the **high initial cost**.

- **Statement 4 is correct:** Electric Vehicles powered by fuel cells offer more advantage on account of increased efficiency and faster refueling when compared to their battery operated counterparts.

Q.68) Ans: a

Exp:

- **Statement 1 is correct:** **Glacial Lake Outburst floods** are caused due to the sudden release of water from the accumulated glacial lakes triggered by an avalanche, earthquake, landslides, or any other anthropogenic reasons. Glacial retreats are responsible for the creation of impressions on the earth's surface which gets filled with the accumulation of debris and water forming a lake. This lake on crossing its threshold causes flooding.

- **Statement 2 is correct:** A Lake Monitoring and Information System has been installed at the **South Lhonak lake** in **Sikkim** to monitor the water level of the lakes.

- **Statement 3 is incorrect:** Glacier retreats or the melting of glaciers caused by climate change attributed to anthropogenic reasons is an important reason for the occurrence of GLOFs.

Q.69) Ans: d

Exp:

- **Statement 4 is correct:** All the above factors are likely to have a negative impact on the Environment.

- o Excessive **Agricultural subsidies** would cause overuse of fertilizers in the farms and thereby degrading their quality in the long run.

- o **Farm mechanization** has in turn caused environmental pollution. It has reduced the need for an agricultural workforce but at the same increased pollution levels in the farm. Machines like combine harvesters are responsible for leaving some crop residues in the fields which are then burnt.

- o **Increased crop residue** in the form of nitrogenous residues releases greenhouse gases during their

decomposition. Excess residues are burnt to clear the field which in turn damage the environment.

- o **Increased stubble burning** is the major cause of environmental pollution in the form of increased emission of greenhouse gases.

Q.70) Ans: b

Exp:

- **Statement 1 is incorrect:** Caracal is a mid-sized cat found in the Indian states of Maharashtra and Gujarat. It is not only endemic to India but is also found in **Africa, Central and South Asia** and the **Middle East**.

- **Statement 2 is correct:** It has been included to the list of **critically endangered species of India** by the **National Board for Wildlife** taking the total strength to 22 of the critically endangered species of India. By being a part of this list, it would be endowed with funding by the central government and better conservation efforts.

- **Statement 3 is incorrect:** It has been listed as **Least Concern** by the **IUCN** since its numbers are huge in Africa. Even though its numbers are declining in Asia, it is in abundance in Africa.

Q.71) Ans: b

Exp:

- **Statement 1 is Incorrect:** The Union Government has approved a scheme of Mega Investment Textiles Region and Apparel (MITRA) Parks to enable the textile industry to become globally competitive, attract large investments, boost employment generation and exports. PM MITRA will offer an opportunity to create an integrated textiles value chain right from spinning, weaving, processing/dyeing and printing to garment manufacturing at one location.

- **Statement 2 is correct:** The Union Government will provide a fund of ₹ 300 Crore for each PM MITRA Park to incentivize manufacturing units to get established. This will be known as Competitiveness Incentive Support (CIS) and will be paid upto 3% of



turnover of a newly established unit in PM MITRA Park.

Extra Edge by Onlyias

About PM MITRA Scheme:

- Government has approved setting up of **7 Mega Integrated Textile Region and Apparel (PM MITRA)** Parks with a total outlay of Rs. 4,445 crore in a period of **5 years**.
- PM MITRA is inspired by the **5F vision** of Prime Minister - **Farm to Fibre to Factory to Fashion to Foreign**.
- Integrated Textile Value chain at 1 location will **reduce logistics cost of Industry**.
- This Intended to generate **1 lakh direct and 2 lakh indirect employment** per park.
- Sites for PM MITRA will be selected by a **Challenge Method** based on objective criteria.

Reference:

<https://pib.gov.in/PressReleasePage.aspx?PRID=1761408>
<https://pib.gov.in/PressReleaseDetail.aspx?PRID=1694058>

Q.72) Ans: a

Exp:

- **Statement 1 is correct:** PM Gati Shakti will incorporate the infrastructure schemes of various **Ministries and State Governments** like **Bharatmala, Sagarmala, inland waterways, dry/land ports, UDAN** etc. Economic Zones like **textile clusters, pharmaceutical clusters, defence corridors, electronic parks, industrial corridors, fishing clusters, agri zones** will be covered to improve connectivity & make Indian businesses more competitive. It will also leverage technology extensively including spatial planning tools with **ISRO** (Indian Space Research Organisation) imagery developed by **BISAG-N** (Bhaskaracharya National Institute for Space Applications and Geoinformatics).
- **Statement 2 is Incorrect:** PM Gati Shakti - National Master Plan for Multi-modal Connectivity, essentially a digital platform to **bring 16**

Ministries including **Railways and Roadways together** for integrated planning and coordinated implementation of **infrastructure connectivity projects**. The multi-modal connectivity will provide **integrated and seamless connectivity for movement of people, goods and services from one mode of transport to another**. It will facilitate the last mile connectivity of infrastructure and also reduce travel time for people. The PM GatiShakti NMP will be monitored in a **three-tier system**. An Empowered Group of Secretaries (EGoS) **headed by Cabinet Secretary** at the top, it will also consist of Secretaries of **18 Ministries as members** and **Head of Logistics Division as Member Convenor**.

Reference:

<https://pib.gov.in/PressReleasePage.aspx?PRID=1765449>
<https://www.india.gov.in/spotlight/pm-gati-shakti-national-master-plan-multi-modal-connectivity>

Q.73) Ans: a

Exp:

About Mount Aso volcano:

- Mt. Aso, which lies almost in the center of the **island of Kyushu**, is an **active composite volcano**.
- Mount Aso is **one of the world's largest active volcanoes** and the **largest volcano in Japan**. The 1,592-meter (5,223-foot) volcano is a popular tourist destination.
- Mount Aso has repeatedly erupted, sometimes fatally. Its 1953 eruption killed six and injured more than 90, and another one five years later killed 12.
- Japan is one of the most volcanically active countries in the world. The island country sits on the **"Ring of Fire,"** where several of the planet's quakes and volcanic eruptions are recorded.
- In 2014, Japan saw its deadliest volcanic eruption in almost nine decades on **Mount Ontake**, in the central Nagano prefecture. The eruption killed 63 people.

Reference:

<https://www.newindianexpress.com/world/2021/oct/20/volcano-in-southern-japan-erupts-with-massive->



[smoke-column-2373637.html](https://www.dw.com/en/japan-mount-aso-volcano-erupts/a-59558464)

<https://www.dw.com/en/japan-mount-aso-volcano-erupts/a-59558464>

Q.74) Ans: a

Exp:

- **Statement 1 is correct:** A report from the World Meteorological Organisation (WMO) said the increase in CO₂ from 2019 to 2020 was **slightly lower** than that observed from 2018 to 2019 but **higher than the average annual growth rate over the last decade**. This is despite the approximately 5.6% drop in fossil fuel CO₂ emissions in 2020 due to restrictions related to the pandemic.

- **Statement 2 is correct:** For methane, the increase from 2019 to 2020 was **higher** than that observed from 2018 to 2019 and also **higher than the average annual growth rate over the last decade**.

- **Statement 3 is Incorrect:** The increase in nitrous oxide from 2019 to 2020 was **higher** than that observed from 2018 to 2019 and also **higher than the average annual growth rate over the last decade**.

Extra Edge by OnlyIas

Findings of World Meteorological Organization (WMO) Greenhouse Gas Bulletin:

Concentration of carbon dioxide (CO₂), the most important greenhouse gas, **reached 413.2 parts per million in 2020 and is 149% of the pre-industrial level. Methane (CH₄) is 262% and nitrous oxide (N₂O) is 123% of the levels in 1750** when human activities started disrupting Earth's natural equilibrium. The **economic slowdown from COVID-19 did not have any discernible impact** on the atmospheric levels of greenhouse gases and their growth rates, although there was a temporary decline in new emissions.

Roughly **half of the CO₂** emitted by human activities today remains in the **atmosphere**. The **other half is taken up by oceans and land ecosystems**. The Bulletin flagged concern that the ability of land ecosystems and oceans to act as "sinks" may become less effective

in future, thus reducing their ability to absorb carbon dioxide and act as a buffer against larger temperature increase.

The Bulletin shows that from 1990 to 2020, radiative forcing – the warming effect on our climate – by long-lived greenhouse gases increased by 47%, with CO₂ accounting for about 80% of this increase. The numbers are based on monitoring by **WMO's Global Atmosphere Watch network**.

Reference:

<https://public.wmo.int/en/media/press-release/greenhouse-gas-bulletin-another-year-another-record>

<https://www.thehindu.com/sci-tech/energy-and-environment/carbon-dioxide-emissions-in-2020-above-decadal-average/article37167104.ece>

Q.75) Ans: d

Exp:

- **Statement 1 is correct:** Rudreshwara, popularly known as Ramappa Temple, is located in the village of Palampet approximately 200km north-east of Hyderabad, in the State of Telangana. It is the main **Shiva temple** in a walled complex built during the **Kakatiyan period (1123–1323 CE) under rulers Rudradeva and Recharla Rudra**.

- **Statement 2 is correct:** The temple is known as the Ramappa temple, after the sculptor who executed the work in the temple for 40 years.

- **Statement 3 is correct:** The main structure of the temple is in a **reddish sandstone**, but the columns round the outside have large brackets of **black basalt** which is rich in iron, magnesium and silica. These are carved as mythical animals or female dancers or musicians, and are "the masterpieces of Kakatiya art."



Extra Edge by Onlyias

A brief description on the Rudreshwara(Ramappa) Temple:

- The Rudreshwar temple was constructed in 1213 AD during the reign of the Kakatiya Empire by Recherla Rudra, a general of Kakatiya king Ganapati Deva. The presiding deity here is Ramalingeswara Swamy. **It is also known as the Ramappa temple, after the sculptor who executed the work in the temple for 40 years.**
- The temple complexes of Kakatiyas have a distinct style, technology and decoration exhibiting the influence of the Kakatiyan sculptor. The Ramappa Temple is a manifestation of this and often stands as a testimonial to the Kakatiya creative genius.
- The temple stands on a **6 feet high star-shaped platform with walls, pillars and ceilings adorned with intricate carvings that attest to the unique skill of the Kakatiyan sculptors.** The sculptural art and decoration specific to the time and Kakatiyan Empire have an outstanding universal value. The distinct style of Kakatiyas for the gateways to temple complexes, unique only to this region, confirm the highly evolved proportions of aesthetics in temple and town gateways in South India.
- European merchants and travellers were mesmerized by the beauty of the temple and one such traveller had remarked that the temple was the **"brightest star in the galaxy of medieval temples of the Deccan"**.

Reference:

<https://whc.unesco.org/en/list/1570/>

<https://pib.gov.in/PressReleasePage.aspx?PRID=173886>

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https://en.wikipedia.org/wiki/Ramappa_Temple

Q.76) Ans: d

Exp:

- **Statement 1 is incorrect:** It is the third cyclone to make landfall in September in the last 25 years, when temperatures across the Bay of Bengal are expected to be lower than conducive for cyclone intensification. Most of these storms form in the Bay of Bengal, due to higher sea surface temperatures as compared to those in the Arabian Sea, which sees far fewer cyclones.
- **Statement 2 is incorrect:** The monsoon conditions are not favourable for cyclones to develop in the North Indian Ocean, because of the strong opposing winds in this region the lower atmospheric winds are in one direction (southwesterly) and the upper atmospheric winds are in the other direction (northeasterly).

Cyclones that develop in the regions between the Tropic of Capricorn and Tropic of Cancer are called tropical cyclones. They rotate in a counter clockwise direction in the Northern Hemisphere and in a clockwise direction in the Southern Hemisphere.

Conditions for development of Tropical Cyclones

- sufficiently warm sea surface temperatures (higher than 26°C),
- atmospheric instability
- high humidity in the lower to middle levels of the troposphere
- enough Coriolis force to sustain a low pressure center
- a pre-existing low level focus or disturbance
- low vertical wind shear

Source: <https://theprint.in/india/why-cyclone-gulab-is-an-exception-as-a-rare-september-cyclone-in-the-bay-of-bengal/741204/>

Q.77) Ans: c

Exp:

- **Statement 1 is correct:** GloLitter Partnerships Project was recently launched by the **International Maritime Organization (IMO)** and the **Food and Agriculture Organization** of the United Nations (FAO). It is also funded by the Government of Norway.



- **Statement 2 is correct:** It aims to assist **developing countries** and **Least Developed Countries** to prevent and **reduce marine plastic litter** from the maritime transport and fisheries sectors and identifies opportunities for the reduction of plastic uses in both fisheries and maritime transport sectors. It also assists in identifying opportunities to **reuse and recycle plastics**.

Establishment of public-private sector partnerships to identify best practices and develop new industry solutions together

- **Statement 3 is Incorrect:** 30 countries **including India** have joined this global initiative to tackle marine litter. The project will promote compliance with the Voluntary Guidelines of the MARPOL Convention. It contains regulations against discharging plastics into the sea.

EXTRA EDGE BY ONLYIAS:

The Public Accounts Committee was introduced in **1921** after its first mention in the Government of India Act, 1919 also called the **Montford Reforms (Montague-Chelmsford Reforms)**.

It is one of the parliamentary committees that **examine the annual audit reports of CAG**.

The CAG submits three audit reports to the president namely, **Audit report on appropriation accounts, audit report on finance accounts, audit report on public undertakings**.

The Public Accounts Committee examines public expenditure not only from a legal and formal point of view but also from the point of view of the economy, prudence and wisdom.

Q.78) Ans: b

Exp:

- **Statement 1 is incorrect:** PAC is formed every year with a strength of not more than **22 members** of which **15 are from Lok Sabha** and **7 from Rajya Sabha**. Members are elected by Parliament every year with **proportional representation by means of a single transferable vote**. The term of office of the members is **one year**. The Chairman is appointed by the **Speaker** of Lok Sabha. Since 1967, the chairman of the committee has been selected from the **opposition**.
- **Statement 2 is correct:** Like the Estimates committee, A minister cannot be elected as a member of the Public Accounts Committee.
- **Statement 3 is incorrect:** It cannot intervene in the questions of policy. Any recommendation that the committee makes is only **advisory**. They **can be ignored** by the ministries.

Q.79) Ans: d

Exp:

- **Statement 1 is correct:** Recently, The Ministry of Power has released a **Draft Electricity Amendment Rules, 2021**. Power distribution is proposed to be delicensed, giving consumers a choice to choose a distribution company in their area.
- **Statement 2 is correct: Universal service obligation:** There is the provision of a universal service obligation fund, which shall be managed by a government company. This fund shall be utilized to meet any deficits in cross-subsidy.
- **Statement 3 is correct: Renewable Power Obligation:** Keeping in view the national climate change goals, the responsibility of fixing renewable power obligations (RPO) is shifted **from state commissions to the central government**.



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a **copper smelting** indicate Harappans, who lived in Dholavira, knew **metallurgy**.

- 10 large stone inscriptions in the Indus Valley script are perhaps the world's earliest sign board, found in Dholavira.

83. Ans: b

About Pneumoconiosis:

- Communities around **coal mines** and the workers in the coal mining industry are prone to many adverse lung ailments, prominent among them is **Pneumoconiosis**, commonly known as **Black Lung Disease**. This is caused due to inhalation of coal dust as well as drinking contaminated water containing coal particles.

Other pollutant related diseases:

POLLUTANT	DISEASE
Nitrate	Blue baby syndrome
Cadmium	Itai Itai disease
Arsenic	Black Foot disease
Mercury	Minamata disease
Fluoride	Fluorosis

Q.84) Ans: d

Exp:

- **Statement 1 is incorrect:** No arrest of the member of the parliament can take place during its session. Also, members can't be arrested **40 days** before and after the session's beginning and end of the session. **No arrest**, whether of a member or of a stranger, can be

made **within the precincts** of the House without the prior permission of the Chairman/Speaker. **No legal process**, civil or criminal, can be served within the precincts of the House without the prior permission of the Chairman or Speaker.

- **Statement 2 is incorrect:** The privilege of freedom from arrest **extends only to civil cases** and does not extend to criminal offences or cases of detention under preventive detention.

EXTRA EDGE BY ONLY IAS:

Parliamentary privileges

- Parliamentary privilege refers to rights and immunities enjoyed by Parliament as an institution and MPs in their individual capacity, without which they cannot discharge their functions as entrusted to them by the Constitution.
- Originally, the Constitution (Article 105) expressly mentioned two privileges, that is, freedom of speech in Parliament and right of publication of its proceedings.
- **Collective Privileges:**
 - Right to have secret sittings
 - Right to informed of the arrest and release of members
 - Right to punish for its contempt or breach of privilege
 - No court can inquire into proceedings of the house or any committees. No legal process [civil / criminal] can be served without informing the presiding officer.
- **Individual Privileges:**
 - They cannot be arrested during sessions of the parliament. **40 days** before beginning and 40 days after the end of each session. This extends to civil cases not criminal cases or preventive detention.
 - They have **freedom of speech** in parliament. No member can be held liable for anything said or voted for in parliament in any court.
 - Can **refuse to give evidence** or bear witness during parliament sessions.

The Constitution has also extended the parliamentary privileges to those persons who are entitled to speak and take part in the proceedings of a House of Parliament or any of its committees. These include the attorney general of India and Union ministers. It does



not extend to the president who is also an integral part of the Parliament.

business.

Q.85) Ans: c

Exp:

- **Statement 1 is correct:** The North Eastern Regional Agricultural Marketing Corporation Limited (NERAMAC) is a central Public Sector Enterprise. NERAMAC was set up to support farmers of the North East getting remunerative prices and thereby bridge the gap between the farmers and the market. It also aims to undertake, establish, acquire, purchase, sell and manage the projects for the development of horticultural products such as establishment of nurseries and commercial orchards, seed stations etc.
- **Statement 2 is incorrect:** It is under the administrative control of the Ministry of Development of North Eastern Regional (MDoNER).
- **Statement 3 is correct:** It also aims to undertake development and marketing of horticultural products within and outside the north eastern region.

EXTRA EDGE BY ONLY IAS:

Objectives of NERAMAC:

Supply of inputs, tools, equipment etc. required for the development of horticulture and agro-based industries whether own or run by the Government, statutory body, company, firm, co-operative or individual.

Function as agent for the distribution of seeds, plants, processed food and other such products connected with the development of horticultural products.

To manage, promote, aid and expedite the export of raw and finished horticultural produce and equipment.

To import raw and finished horticultural produce and equipment in furtherance of the company's

Q.86) Ans: d

Exp:

- **Statement 1 is correct:** Operation Greens (also called Tomato Onion Potato (TOP)) scheme aims to **promote Farmer Producers Organizations (FPOs), Agri-logistics**, processing facilities and value addition etc. in identified production clusters. It aims at enhancing value realisation of TOP farmers by targeted interventions to strengthen TOP production clusters and their FPOs, and linking/connecting them with the market.
- **Statement 2 is correct:** The scheme provides for **short term intervention** by way of providing transportation and storage **subsidy @ 50%** and **long term intervention** through value addition projects in identified production clusters with **Grant-in-aid @ 35% to 70% of eligible project cost** subject to a maximum of Rs. 50 crore per project.
- **Statement 3 is correct:** As per budget Announcement 2021-22, the expanded operation greens scheme covers **22 perishables including shrimp**. Under the scheme, **state-wise funds are not allocated** as the scheme is **demand driven** and projects are approved as per scheme guidelines.

EXTRA EDGE BY ONLY IAS:

Objectives of Operation Greens:

Price stabilisation for producers and consumers by proper production planning in the TOP clusters and introduction of dual use varieties.

Reduction in post-harvest losses by creation of farm gate infrastructure, development of suitable agro-logistics, creation of appropriate storage capacity linking consumption centres.

Increase in food processing capacities and value addition in the TOP value chain with firm linkages with production clusters.

Setting up of a market intelligence network to collect and collate real time data on demand and



supply and price of TOP crops.

Q.87) Ans: d

Exp:

VAYO NAMAN programme

• The Ministry of Social Justice and Empowerment organised VAYO NAMAN Programme on the occasion of International Day of Older Persons at Vigyan Bhawan, New Delhi. The Ministry of Social Justice and Empowerment celebrates International Day of Older Persons every year on 1st October for the cause of elderly persons.

• The vice-president Shri M. Venkaiah launched two portals - **SAGE (Seniorcare Aging Growth Engine)** and **SACRED (Senior Able Citizens for Re-Employment in Dignity)** on this occasion. The SAGE (Seniorcare Aging Growth Engine) portal, designed by the Ministry of Social Justice and Empowerment, aims to encourage entrepreneurs in the area of elderly care, whereas the **SACRED (Senior Able Citizens for Re-Employment in Dignity)** portal will connect the senior citizens with job providers in the private sector.

• **An Elderly Line '14567'** was also launched throughout the Nation for helping and assisting the elderly population by the Vice President of India and he also presented the Vayoshreshtha Samman-2021 to senior citizens.

Source: <https://pib.gov.in/PressReleasePage.aspx?PRID=1760010>

Q.88) Ans: b

Exp:

• **Fundamental Quantities:** The physical quantities which are independent to each other are called fundamental quantities and their units are called fundamental units. Fundamental quantities are the basic or base quantities. These are independent of each other. They consist of the quantities which are essential

to form all other physical quantities apart from fundamental quantities. There are seven fundamental quantities in SI System

- Length - meter (m)
- Time - second (s)
- Amount of substance - mole (mole)
- Electric current - ampere (A)
- Temperature - kelvin (K)
- Luminous intensity - candela (cd)
- Mass - kilogram (kg)

• **Derived quantities:** The physical quantities which are obtained with the help of fundamental quantities are called derived quantities and their units are called derived units. Derived quantities are quantities that are calculated from two or more measurements. Derived quantities cannot be measured directly. They can only be computed. Many derived quantities are calculated in physical science. Examples are:

- Force- Newton (N)
- Energy- Joule(J)
- Potential- Volt(v)
- Capacitance- Farad(F)
- Electrical resistance- Ohm
- Impulse- Newton second(Ns)
- Speed – Metre/ Second(m/s)
- Power- Watt(W)

Q.89) Ans: c

Exp:

- **Statement 1 is incorrect:** Hurricanes are large, swirling storms. They produce winds of 119 kilometers per hour (74 mph) or higher. They form over **warm ocean waters**. Tropical cyclones or hurricanes use **warm, moist air as fuel**, and therefore form over warm **ocean waters near the equator**. A hurricane starts out as a **tropical disturbance**. This is an area over **warm ocean waters** where rain clouds are building. Warm ocean waters provide the energy a storm needs to become a hurricane. Usually, the surface water temperature must be 26 degrees Celsius (79 degrees Fahrenheit) or higher for a hurricane to form. Winds that don't change much



in speed or direction as they go up in the sky. Winds that change a lot with height can rip storms apart.

- **Statement 2 is correct:** Hurricanes are the **biggest and most violent storms** on the planet. When a hurricane strikes a coastal area, it brings a number of serious hazards. These hazards include **heavy rains, high winds, a storm surge, and even tornadoes**. Storm surge pushes seawater on shore during a hurricane, **flooding towns near the coast**. Heavy rains cause flooding in inland places as well. High winds, storm surge, flooding and tornadoes cause damage to houses and cars that are in the path of a hurricane.
- **Statement 3 is correct:** The most recognizable feature found within a **hurricane is the eye**. They are found at the center and are between 20-50km in diameter. The eye is the **focus** of the hurricane, the point about which the rest of the storm rotates and where the lowest surface pressures are found in the storm. **An eye forms in the centre. It is the calmest part of the cyclone**. Before the wind reaches the centre it gets warmed up and rises upwards. This disturbance is fuelled by the ocean's heat and the water that evaporates from its surface. Such storm systems rotate faster and faster.
- Names in Different Regions of the World -
 - o **Typhoons**- Tropical cyclones are known as Typhoons in the **China Sea and Pacific Ocean**.
 - o **Hurricanes**- In the West Indian islands in the **Caribbean Sea and Atlantic Ocean**.
 - o **Willy-willies**- In north-western **Australia**.
 - o **Tropical Cyclones**- In the **Indian Ocean Region**.

Q.90) Ans: d

Exp:

- **Statement 1 is correct** : Recently, in order to empower the Indian police with information technology, the Government has approved implementation of the **National Automated Facial Recognition System (NAFRS)**. Facial recognition is a way of identifying or confirming an **individual's identity using their face**. Facial recognition systems can be used

to identify people in photos, videos, or in real-time. It would be a **mobile and web-based application** hosted in Delhi to help in crime prevention and detection and fast track document verification.

- **Statement 2 is correct** : It is supposed to be interlinked with other existing databases like the **khoya- paya Portal** crime and criminal tracking Network & systems (CCTNS), integrated criminal justice system (ICJS) and the state specific database systems.

Reference: <https://journalsofindia.com/automated-facial-recognition-system-afrs/>

Q.91) Ans: c

Exp:

- **Statement 1 is correct:** PM Poshan Shakti Nirman (PM POSHAN) is the **Centrally-Sponsored Scheme**. The scheme will cover 11.8 crore students enrolled in classes 1 to 8 in over 11.2 lakh schools across the country. Primary (1-5) and upper primary (6-8) schoolchildren are currently entitled to 100 grams and 150 grams of food grains per working day each, to ensure a minimum of 700 calories.
- **Statement 2 is correct:** This scheme will replace the existing national programme for mid-day meals in schools or **Mid-day Meal Scheme**. Aim of the scheme is to provide one hot cooked meal in Government and Government-aided schools from 2021-22 to 2025-26. The Mid-day Meal Scheme (under the **Ministry of Education**) is a centrally sponsored scheme which was launched in 1995. It is considered as the **world's largest school meal programme** aimed to attain the goal of universalization of primary education.
- **Statement 3 is incorrect:** It will cover all school children studying in **Classes I-VIII of Government, Government-Aided Schools**. The central government will ensure **Direct Benefit Transfer (DBT)** from states to schools, which will use it to cover cooking costs. The government will promote **nutritional gardens** in schools. The gardens are being provided to offer additional micro-nutrients to students. The concept of **TithiBhojan** will be encouraged extensively. TithiBhojan is a **community participation programme** in which people provide special food to children on special



occasions/festivals.

Reference: <https://www.niti.gov.in/documents/posha-n-abhiyaan-reports>

Q.92) Ans: c

Exp:

- **Statement 1 is incorrect:** The Stand Up India scheme aims at providing people belonging to the **scheduled caste or scheduled tribe or women** of the country a loan between **Rs.10 lakhs to Rs.1 crore**, based on their requirement. The aim is to promote entrepreneurship among them. The Stand up India Scheme, **launched in 2016** by the Department of Financial Services, **Ministry of Finance**.
- **Statement 2 is incorrect:** The Stand-Up India Scheme facilitates bank loans for setting up a **new enterprise** in manufacturing, services, agri-allied activities, or the trading sector by **SC/ST/Women entrepreneurs**. More eligibility for this scheme is Borrower should not be in default to any bank or financial institution. In case of non-individual enterprises, at least 51% of the shareholding and controlling stake should be held by either an SC/ST or Woman entrepreneur.
- **Statement 3 is correct:** It provides bank loans between **Rs 10 lakh and up to 1 crore**. The government does not allocate funds for loans under the Scheme. They are extended by Scheduled Commercial Banks(SCBs). The loan is repayable in 7 years with a maximum moratorium period of 18 months.
- **Statement 4 is correct:** Loans under the scheme are available **only for greenfield projects**. A greenfield project is one which is not constrained by **prior work**. It is constructed on unused land where there is no need to remodel or demolish an existing structure. Greenfield signifies the first time venture of the beneficiary in the manufacturing, services, agri-allied activities or the trading sector. The Stand-Up India Scheme has been extended up to the year 2025.

Reference: <https://www.standupmitra.in/Home/SUISch>

emes

Q.93) Ans: c

Exp:

- **Statement 1 is correct:** **National Coal Index** is a price index which **reflects the change of price level of coal** in a particular month relative to the fixed base year. The amount of revenue share per tonne of coal produced from auctioned blocks would be arrived at using the NCI by means of a defined formula.
- **Statement 2 is incorrect:** The base year for the NCI is **Financial year 2017-18**. **Compilation of index:** Prices of coal from all the sales channels of coal, including import, as existing today are taken into account for compiling the NCI. The amount of revenue share per tonne of coal produced from auctioned blocks would be arrived at using the NCI by means of a defined formula.
- **Statement 3 is correct:** It will be used for the **calculation of intrinsic mine value and annual escalation rates**. It will be used to calculate the amount of performance security companies need to pay after winning coal blocks.
- **Coal is the most abundant fossil fuel** which holds **55% of India's energy needs**. Based on the uses, coal is divided into two types- **1. Coking Coal:** This type of coal when subjected to high temperature carbonisation i.e. heating in the absence of air to a temperature above 600 degree Celsius, forms a solid porous residue called coke. Coke is fed into a blast furnace along with iron ore and limestone to produce steel in **steel plants**. Coking coal is desired to be of **low ash percentage**. **2.Non Coking Coal:** These are coals without coking properties. This is the coal used in thermal power plants to **generate electricity**, so it is also known as steam coal or thermal coal.

Reference: <https://coal.nic.in/en/nominated-authority/national-coal-index>

Q.94) Ans: b

Exp:

- **Statement 1 is incorrect:** The SCO is a **permanent**



intergovernmental international organisation. It was established in **2001**. It is a Eurasian political, economic, and security alliance and has been the primary security pillar of the region. The SCO Charter was signed in 2002, and entered into force in 2003.

- It is a **statutory document** which outlines the organisation's goals and principles, as well as its structure and core activities. The SCO's official languages are **Russian and Chinese**.
- **Statement 2 is correct:** It was preceded by the **Shanghai Five mechanism**. Shanghai Five (1996) emerged from a series of border demarcation and demilitarization talks which the four former Soviet republics held with China to ensure stability along the borders. Following the accession of Uzbekistan to the organisation in 2001, the **Shanghai Five was renamed the SCO**. India and Pakistan became members in 2017. The organisation has two permanent bodies -
 - o the **SCO Secretariat** based in **Beijing**.
 - o the Executive Committee of the **Regional Anti-Terrorist Structure (RATS)** based in **Tashkent**.
- **Statement 3 is incorrect:** SCO has **Eight** member states: **India, Kazakhstan, China, Kyrgyzstan, Pakistan, Russia, Tajikistan, and Uzbekistan**. And Four observer states: Afghanistan, Belarus, Iran and Mongolia. The SCO covers **40% of the global population**, nearly **20% of the global GDP** and **22% of the world's land mass**. The SCO has a strategically important role in Asia due to its geographical significance - this enables it to control Central Asia and limit the American influence in the region.

- India's membership of SCO can help in achieving regional integration, promote connectivity and stability across borders. Through the SCO, India can also work on **anti-drug trafficking and small arms proliferation**. Cooperation on common challenges of terrorism and radicalisation. SCO provides **direct access to Central Asia** – overcoming the main hindrance in flourishing of trade between India and Central Asia. SCO acts as an **alternative route to Central Asia**. Platform for India to simultaneously engage with its traditional friend Russia as well as its rivals, China and Pakistan.

Reference: <https://www.thehindu.com/news/international/shanghai-cooperation-organisation-a-counter->

[coalition-of-eurasian-powers/article32589476.ece](https://www.thehindu.com/news/international/shanghai-cooperation-organisation-a-counter-coalition-of-eurasian-powers/article32589476.ece)

Q.95) Ans: b

Exp:

About Sorghum:

- Sorghum, also called great millet, is a **gluten free cereal** plant of the grass family, and edible starchy seeds. The grain is popular across the world because it has a **low glycaemic index**, is gluten-free and nutritious. The sorghum plant originated in Africa, where it is a major food crop.
- The variety of the crop found in India is called **jowar**. It is said to have its origin in the country and is one of its most important food and fodder crops. Sorghum plants are very hardy and can withstand high temperature and drought conditions.
- It is well adapted to **semiarid regions** with a minimum annual precipitation of 350-400 mm. It is grown in areas that are too hot and dry for growing maize. In India, the main sorghum belt receives an annual rainfall ranging from **400-1000 mm**. It can grow on a wide range of soils. Medium to **deep black soils** are predominantly suitable for growing sorghum.
- The key varieties of millets include Sorghum, pearl millet, Ragi, Small millet, Foxtail millet, Barnyard millet, Kodo millet and others. Jowar has a dedicated All-India coordinated research project since 1969.

Q.96) Ans: c

Exp:

- **Pair 1 is correct:** The Amargarh Fort is a fort in **Amargarh, near Jahazpur in Bhilwara district of Rajasthan, India**. The present form of the Amargarh Fort was given in the 18th century by Maharaja Sawai Jai Singh II, founder of Jaipur. It has always been believed that there was some construction at the place before Jai Singh II built the fort.
- **Pair 2 is correct:** Haiti is a country in the **Caribbean Sea** that includes the western third of the island of Hispaniola and such smaller islands as Gonâve, Tortue (Tortuga), Grande Caye, and Vache. It is bordered to the east by the **Dominican Republic**, which covers the rest of Hispaniola, to the south and west by the Caribbean, and to the north by the Atlantic



Ocean. The capital is **Port-au-Prince**.

- **Pair 3 is correct** : Kuthiran Tunnel is a **Twin-tube tunnel at Kuthiran in Thrissur District of Kerala**. It is located on National Highway 544, owned and operated by the **National Highways Authority of India**. It is Kerala's first-ever tunnel for road transport and South India's Longest 6-lane road tunnel. It is the first **road tunnel in the state** and will drastically improve connectivity to **Tamil Nadu and Karnataka**. The 1.6 km long tunnel is designed through Peechi- Vazhani wildlife sanctuary. The road will improve connectivity to important ports and towns in the North – South Corridor without endangering wildlife.

- **Pair 4 is incorrect** : The Ningbo port is located in **Ningbo and Zhoushan, on the coast of the East China Sea**, in Zhejiang province on the southeast end of Hangzhou Bay, across which it faces the municipality of **Shanghai**. The port is at the crossroads of the north-south inland and coastal shipping route, including canals to the important inland waterway to interior China, the **Yangtze River**, to the north. The port consists of several ports which are Beilun (seaport), Zhenhai (estuary port), and old Ningbo harbour (inland river port).

Q.97) Ans: c

Exp:

- **Statement 1 is correct**: Asian Development Bank is a **regional development bank** established on 19th December 1966. Asian Development Bank is an **official United Nations Observer**. ADB is headquartered in **Manila, Philippines**.

- **Roles and functions**: Dedicated to reducing poverty in Asia and the Pacific through inclusive economic growth, environmentally sustainable growth, and regional integration. This is carried out **through investments** – in the form of **loans, grants and information sharing** – in infrastructure, health care services, financial and public administration systems, helping nations prepare for the impact of climate change or better manage their natural resources, as well as other areas.

- **Statement 2 is correct**: ADB has **68 members 49 from within asia**. India was a **founding member** of the Asian Development Bank (ADB) in 1966. Today, **India is ADB's fourth-largest** shareholder and its top borrower since 2010. The bank admits the members of the United Nations Economic and Social Commission for Asia and the Pacific (UNESCAP, formerly the Economic Commission for Asia and the Far East or ECAFE) and non-regional developed countries can become members of Asian Development Bank.

- **Statement 3 is incorrect**: Asian Development Bank's Aim is to promote **social and economic development in Asia**. ADB is committed to achieving a prosperous, inclusive, resilient, and sustainable Asia and the Pacific, while sustaining its efforts to eradicate extreme poverty.

- **Statement 4 is correct**: As of 31st December 2019, ADB's five largest shareholders are Japan and the United States (each with 15.6% of total shares), the People's Republic of China (6.4%), India (6.3%), and Australia (5.8%). It is modeled closely on the World Bank, and has a similar **weighted voting system where votes are distributed in proportion with members' capital subscriptions**.

Reference: <https://www.adb.org/who-we-are/main>
<https://www.thehindu.com/business/Industry/adb-sees-india-grow-by-11-adds-caveat/article34425353>.

Q.98) Ans: c

Exp:

- **Statement 1 and statement 3 is correct**: The Association of Southeast Asian Nations is a **regional organization** which was established to promote political and social stability amid rising tensions among the **Asia-Pacific's post-colonial states**. The motto of ASEAN is **"One Vision, One Identity, One Community"**.

- ASEAN Secretariat in **Indonesia, Jakarta**. ASEAN has ten members namely **Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand, and Vietnam**. ASEAN is significant for India against the backdrop of aggressive moves by China,



including the Ladakh standoff, India placed the ASEAN at the centre of **India's Act East policy** and held that a cohesive and responsive ASEAN is essential for security and growth for all in the region.

- **Statement 2 is incorrect:** ASEAN established in 1967 with the signing of the **ASEAN Declaration** (Bangkok Declaration) by its founding fathers. Founding Fathers of ASEAN are Indonesia, Malaysia, Philippines, Singapore and Thailand. **India is not** a founding member of ASEAN. ASEAN Declaration declared the establishment of an Association for Regional Cooperation among the Countries of Southeast Asia to be known as the **Association of Southeast Asian Nations (ASEAN)** and spelled out the aims and purposes of that Association. These aims and purposes were about **cooperation in the economic, social, cultural, technical, educational and other fields, and in the promotion of regional peace and stability** through abiding respect for justice and the rule of law and adherence to the principles of the United Nations Charter.

- ASEAN is headed by a chair- a position that **rotates annually** among member states and Important decisions are usually reached through **consultation and consensus** guided by the principles of noninterference in internal affairs and peaceful resolution of conflicts.

Reference: <https://asean.org/about-us/>

Q.99) Ans: a

Exp:

Peter Pan syndrome:

- Peter Pan syndrome is a **psychological condition** that is used to describe an adult who is socially immature. People who develop similar behaviours of living life carefree, finding responsibilities challenging in adulthood, and basically never growing up suffer from PPS.
- The term was coined by psychologist Dan Kiley to explain the behaviour of such men who 'refuse to grow' and behave their age in 1983. While the WHO (World Health Organization) does not recognise Peter Pan Syndrome as a health disorder, many experts believe it is a mental health condition that can affect one's quality

of life.

- As Peter Pan Syndrome hasn't officially been diagnosed as a health disorder, there **aren't clearly defined symptoms** or characteristics or even reasons which cause it. But it could affect one's daily routine, relationships, work ethic, and resulting attitudinal changes.

- It is **not currently considered a psychopathology**. However, a large number of adults are presenting emotionally immature behaviors in Western society. Psychopathology is a term which refers to either the study of mental illness or mental distress or the manifestation of behaviours and experiences which may be indicative of mental illness or psychological impairment.

Reference:

<https://indianexpress.com/article/explained/peter-pan-syndrome-explained-7371824/>

Q.100) Ans: a

Exp:

- **Statement 1 is correct:** Financial Action Task Force is an **inter-governmental** body established in **1989 during the G7 Summit in Paris**. The FATF assesses the strength of a country's **anti-money laundering and anti-terrorism financing** frameworks, however it does not go by individual cases. The objectives of the FATF are to set standards and promote effective implementation of legal, regulatory and operational measures for **combating money laundering, terrorist financing and other related threats to the integrity of the international financial system**.

- **Statement 2 is incorrect:** **India** is a member of FATF. The FATF currently has **39 members** including two regional organisations — the European Commission and Gulf Cooperation Council. The FATF Plenary is the decision making body of the FATF. FATF plenary meets three times per year.

- **Statement 3 is correct:** Its Secretariat is located at the Organisation for Economic Cooperation and Development (OECD) headquarters in **Paris**. **Listing by FATF:**

- o **Grey List** - In June 2018, the Financial Action Task Force (FATF) placed **Pakistan on the 'grey list'** of



jurisdictions under increased monitoring. Countries that are considered a safe haven for supporting terror funding and money laundering are put in the grey list.

o **Black List** - Iran and North Korea are the only two countries on **black list of FATF**. Countries known as Non-Cooperative are put in the blacklist. These countries support terror funding and money laundering activities. The FATF revises the blacklist.

Reference: <https://www.fatf-gafi.org/about/>

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